Home Afrika Limited

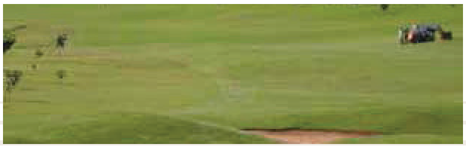
Incorporated in Kenya under the
Companies Act (Chapter 486, Laws of Kenya)

(Registration Number C. 8/2011)

Listing Statement 15th July 2013

In respect of

The Listing by Introduction on the Growth Enterprise Market Segment of the Nairobi Securities Exchange of up to 405,255,320 Issued Ordinary Shares of KES 1 each of Home Afrika Limited at a listing price of KES 12 per Ordinary Share



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Nominated Advisor

NIC CAPITAL

Reporting Accountants

PKF

Legal Advisors

mboya wangong'u & waiyaki

Registrar

CO-OPERATIVE BANK

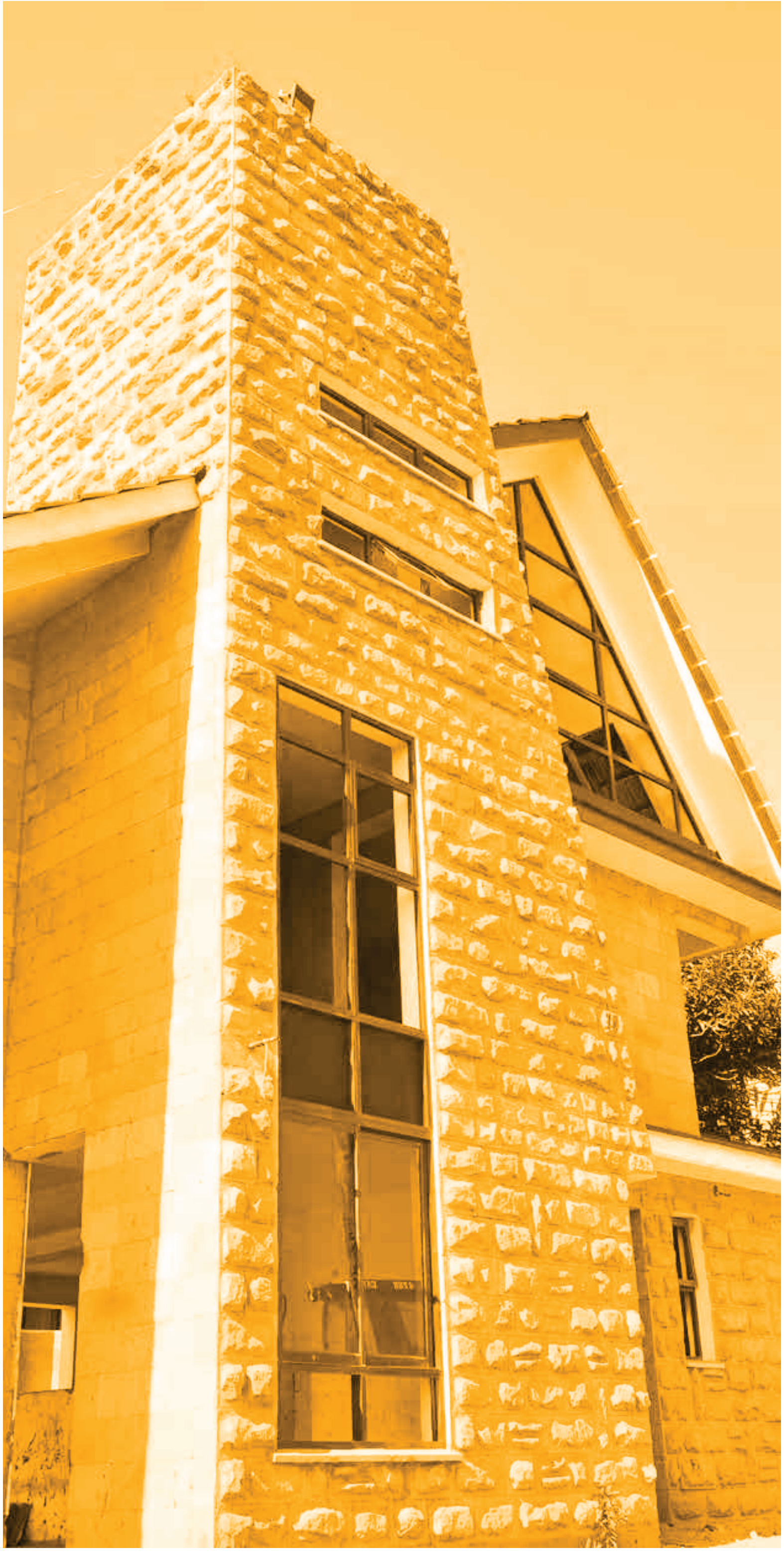
We are you

Media & Public Relations

REDHOUSE PUBLIC RELATIONS

Vision

"To be the leader in the provision of dignified planned communities across Africa."



1. Important Notice

THIS DOCUMENT CONTAINS IMPORTANT DECISION MAKING INFORMATION FOR CONSIDERATION AND REQUIRES CAREFUL ATTENTION AS IT INCLUDES WITHIN IT, LEGAL, MARKET AND HISTORIC, CURRENT AND FUTURE FINANCIAL INFORMATION.

This Listing Statement includes particulars given in compliance with the requirements of the Companies Act (Cap.486), the requirements of the Capital Markets Act (Cap. 485A), The Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations 2002 and , the rules and regulations made thereunder, as well as the Rules of the Nairobi Securities Exchange.

This Listing Statement is issued by Home Afrika Limited ("HAL" or "Home Afrika" or "the Issuer" or "the Company") and has been prepared in compliance with The Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations 2002 in connection with the proposed listing of the whole of its existing issued share capital ("Shares") on the Official List of the Nairobi Securities Exchange by way of Introduction ("Introduction") in the Growth Enterprise Market Segment ("GEMS") of the Nairobi Securities Exchange ("NSE"). This follows approval of the listing by the shareholders through a shareholders resolution dated 27 April 2013.

Application has been made to the Nairobi Securities Exchange ("NSE") and approval has been granted for the listing of the Shares of the Company on the NSE. Subject to compliance with the NSE Listing Rules, the NSE will admit the Shares of the Company for listing under the security code "HAFR" in the GEMS. As a matter of policy, the NSE and the Capital Markets Authority assumes no responsibility for the correctness of any statements or opinions made, or reports contained in this Listing Statement, as the case may been. Approval of the Listing is not to be taken as an indication of the merits of the Company or of the Shares.

Should any doubt arise as to the meaning of the contents of this Listing Statement or as to what action to take, please consult your investment bank, financial advisor, stockbroker or other professional advisor, duly authorized under the Capital Markets Act, who specializes in advisory on the acquisition of shares and other securities.

The Directors of the Issuer, whose names appear on page 8 of this Listing Statement, accept responsibility for the information contained in this document. To the best of the knowledge and belief of the Directors (who have taken all reasonable care to ensure that such is the case), the information contained in this document is in accordance with facts and does not omit anything likely to affect the import of such information.

A copy of this Listing Statement together with the documents required by Section 43 of the Companies Act (Cap.486) to be attached hereto, have been delivered to the Registrar of Companies in Nairobi for registration.

Shares of HAL will be available to the general public through the secondary trading on the NSE. Upon listing, the sale or transfer of Shares will be subject to the rules of the NSE and the CDSC (as defined below). The register will be maintained by Co-operative Bank of Kenya Limited – Share Registrar Services (the "Registrar"). There are currently no other restrictions on the sale or transfer of Shares under Kenyan law by Kenyan residents.

This Listing Statement does not constitute an offer or invitation to any person to subscribe for or purchase any new shares in Home Afrika and is not marketing any new shares of the company. Neither this Listing Statement nor any other information supplied in connection with the Introduction is intended to provide a complete basis of any credit or other evaluation, nor should it be considered as a recommendation by Home Afrika, that any recipient of this Listing Statement (or any other information supplied in connection with the Introduction) should purchase any shares of the company.

Legal Advisor's Opinion

Mboya Wangong'u & Waiyaki Advocates, the Legal Advisors, have given and not withdrawn their written consent to the inclusion in this Listing Statement of their Legal Opinion (attached as Appendix 1), and the references to their names in the form and context in which they appear, and have authorized the contents of the said Legal Opinion.

The Statutory, Legal and General Information section of this Listing Statement lists material contracts which arose in the ordinary course of business in which the Issuer is currently involved.

Reporting Accountant's Opinion

This Listing Statement contains statements from PKF, the Reporting Accountants, which constitutes statements made by an expert in terms of Section 42(1) of the Companies Act. The Reporting Accountants have given and not withdrawn their consent to the issue of the said statements in the form and context in which they are included in this Listing Statement.

Forward-looking statement

This Listing Statement contains "forward-looking statements" relating to the Company's business. These forward-looking statements can be identified by the use of forward-looking terminology such as "believes", "expects", "may", "is expected to", "will", "will continue", "should", "would be", "seeks" or "anticipates" or similar expressions, or the negative thereof, or other variations thereof, or comparable terminology or by discussions of strategy, plans or intentions.

These statements reflect the current views of the Company with respect to future events and are subject to certain risks, uncertainties and assumptions. Many factors could cause the actual results, performance or achievements of the Company to be materially different from the future results, performance or achievements that may be expressed or implied by such forward-looking statements. Some of these factors are discussed in more detail under "Risk Factors" and "Business Overview". Should one or more of these risks or uncertainties materialize, or should underlying assumptions prove incorrect, actual results may vary materially from those described in this Listing Statement as anticipated, believed, estimated or expected.

This Listing Statement is dated: 15th, July 2013

2. Chairman's Statement

Dear Shareholder,

Home Afrika is a leading real estate company in Kenya founded 5 years ago. The company has a unity of purpose of 128 Shareholders to address the housing needs in Africa. Home Afrika Limited is committed to creating sustainable communities across Africa where people live in decent, planned and affordable homes through mass housing programs.
The integrated communities concept includes residential, economic, social, leisure and environmental aspects of development. We shall partner African governments and international organizations that share a similar vision to address the housing needs in Africa.

Home Afrika's development approach is to undertake projects in all the counties in Kenya and also expand to other countries in Africa.

As part of our strategy to achieve the above vision, Home Afrika's shareholders and board of directors have resolved to list through GEMS and realize the following objectives:-
a) Avail Home Afrika's shared vision and success by providing an opportunity for others to own shares in the company
b) Provide the shareholders an opportunity to realize the full price discovery of their investments
c) Provide the shareholders an opportunity to trade off some of their shares
d) Enable Home Afrika to raise funds for development
e) Advance the status and corporate profile of Home Afrika as the leading real estate company in Kenya

Yours Faithfully,

Arch. Lee G. Karuri – OGW
Chairman Home Afrika Ltd.

3. Corporate Information

CONTACT INFORMATION FOR THE COMPANY

<table>
<tr><th colspan="2">Home Afrika Limited
Morningside Office Park, Ngong Road
P.O. Box 6254 – 00100 Nairobi
Tel:+254 (020) 2772000</th></tr>
<tr><td>Gerald Chege
Chief Executive Officer
Home Afrika Limited
Email: gerald.chege@homeafrika.com</td><td>Simon Gichini
Finance Manager
Home Afrika Limited
Email: simon.gichini@homeafrika.com</td></tr>
</table>

CURRENT DIRECTORS OF THE COMPANY

Name	Position	Nationality	Address
Lee G. Karuri	Chairman (Non-Executive)	Kenyan	P.O. Box 55459 – 00200 Nairobi
Dr. Mbira Gikonyo	Vice Chairman (Non-Executive)	Kenyan	P.O. Box 6254 – 00100 Nairobi
Eng. Mbugua Kamau	Treasurer (Non-Executive)	Kenyan	P.O. Box 248 – 00606 Nairobi
Lucy Maina	Director (Non-Executive)	Kenyan	P.O. Box 14642 – 00800 Nairobi
Dan Awendo	Director (Non-Executive)	Kenyan	P.O. Box 6254 – 00100 Nairobi
Nyagah Kithinji	Director (Non-Executive)	Kenyan	P.O. Box 1992 – 00100 Nairobi
Gilbert Kibe	Director (Non-Executive)	Kenyan	P.O. Box 61 – 502 Nairobi
Mbugua Gecaga	Director (Non-Executive)	Kenyan	P.O. Box 15645 – 00100 Nairobi
Ken Wathome	Director (Non-Executive)	Kenyan	P.O. Box 211 – 00202 Nairobi
Jane Adam	Director (Non-Executive)	Kenyan	P.O. Box 56277 – 00200 Nairobi

OTHER CORPORATE INFORMATION

Company Secretary	Esther Ndegi Njiru Certified Public Secretary P O Box 2050 – 00200 Nairobi, Kenya
Registered Office	Morningside Office Park, 5th Floor Penthouse 1, Ngong Road P.O. Box 6254 – 00100 Nairobi, Kenya
Financial Calendar	Financial Year – 31st December
Auditors	PKF Kenya Certified Public Accountants P.O. Box 14077-00800 Nairobi, Kenya
Legal Advisors	Mboya Wangong'u & Waiyaki Advocates Lex Chambers Maji Mazuri Road Off James Gichuru Road, Lavington P. O. Box 74041-00200

	Muriu Mungai & Company Advocates MMC Arches Spring Valley P.O Box 75362-00200 Nairobi, Kenya
Principal Banker	Kenya Commercial Bank Sarit Centre Branch P.O. Box 14959-00800 Nairobi, Kenya
Subsidiaries of the company	The Company's subsidiaries as at the date of publication of this Listing Statement comprise of Morningside Management Limited (Ngong Road) (50%), Home Afrika Communities Limited (Kiambu) (60%), Suburban Limited (50%), Mitini Scapes Development Limited (Kiambu) (100%), Kikwetu Development Limited (Athi River) (60%), Lakeview Heights Development Limited (Kisumu) (60%), and Llango Development Limited (Kwale) (60%).

TRANSACTION ADVISORS AND AGENTS

NOMINATED ADVISOR	LEGAL ADVISOR
NIC Capital Limited NIC House Masaba Road P.O. Box 44599-00100 Nairobi, Kenya Tel: +254 20 2888000 / 4948000 Fax: +254 20 2888505 Contact: Eldad Wairegi Email: eldad.wairegi@nic-capital.com	Mboya Wangong'u & Waiyaki Advocates Lex Chambers Maji Mazuri Road Off James Gichuru Road, Lavington P. O. Box 74041-00200 Nairobi, Kenya Tel: +254 20 4348356 - 59 Fax: +254 20 4348351 Contact: Godwin Wangong'u Email: gwangongu@lexgroupafrica.com
REPORTING ACCOUNTANT	**REGISTRAR**
PKF Limited Kalamu House Grevillea Grove Off Brookside P.O. Box 14077 - 00800 Nairobi, Kenya Tel: +254 20 4270000 Fax: +254 20 4447233 Contact: Mike Kimundu Email: mkimundu@ke.pkfea.com	Co-operative Bank of Kenya Limited – Share Registrar Services Co-operative Bank House, 13th Floor Haile Selassie Avenue P.O. Box 48231-00100 Nairobi, Kenya Tel: +254 20 3276234 Fax: +254 20 2249484 Contact: Julia Kinandu Email: jkinandu@co-opbank.co.ke
PUBLIC RELATIONS AND MEDIA ADVISORS	
Redhouse Public Relations 14 Riverside 2nd Floor Riverside Drive P.O BOX 40287-00100 Nairobi, Kenya Tel: +254 20 4205000 Contact: Kenneth Kyaka Email: ken.kyaka@redhouseke.com	

4. Glossary of Definitions and Abbreviations

Unless otherwise stated and as the context allows, the words in the first column have the meaning stated opposite them in the second column, throughout this Listing Statement, its appendices and enclosures. Words in the singular include the plural and vice versa, words signifying one gender include the other gender and references to a person include references to juristic persons and associations of persons.

Subject	Definition
Admission	The admission of the Shares to GEMS becoming effective in accordance with the NSE Rules
Articles	The Articles of Association of Home Afrika Limited
Board	The Board of Directors of the Company;
Bps	Represents movement in interest rates whereby 1% change = 100 basis points, and 0.01% = 1 basis point
CAGR	Compounded Annual Growth Rate
Capital Markets Legislation	Means (a) the Capital Markets Act, Chapter 485A of the Laws of Kenya and all subsidiary legislation and rules and guidelines promulgated thereunder (b) the rules of the NSE (c) Companies Act and (d) any law applicable to capital markets in Kenya
CDS	The Central Depository System, a computer system operated by CDSC in accordance with the Central Depositories Act, 2000 that facilitates holding of securities in electronic accounts thereby facilitating faster and easier processing of transactions at the NSE
CDS Account	A securities account opened with CDSC for the purpose of recording the deposit of and dealings in immobilized or dematerialized securities
CDSC	The Central Depository and Settlement Corporation Limited a company incorporated in Kenya
CMA	The Capital Markets Authority in Kenya, a statutory body incorporated under the Capital Markets Act and includes anybody replacing it or any of its functions
Company or Issuer	Home Afrika Limited
Companies Act	The Companies Act (Chapter 486 of the Laws of Kenya)
Directors or the Board	Directors of the Company whose names appear on page 10 of this Listing Statement
DPS	Dividend per Share
EPS	Earnings per Share
ETF	Exchange Traded Fund
EPZ	Export Processing Zone
Existing Shares	The Issued and fully paid Ordinary Shares of the Company as at the date of this Listing
Executive Director	A member of the Board of Directors who is an employee of the Company
GDP	Gross Domestic Product
GEMS	Growth Enterprise Market Segment
IAS or IFRS	International Accounting Standards (also referred to as International Financial Reporting Standards)
ICT	Information and Communication Technology
Issuer	the Company
KSHS, Kshs or KES	Kenya Shillings or the currency of the Republic of Kenya
Listing	Admission of the Shares to the GEMS
Home Afrika or HAL	the Issuer
NACHU	National Cooperative Housing Union
NAV	Net Asset Value
NSE	The Nairobi Securities Exchange
NGO	Non Governmental Organization
NLC	National Land Commission
Non-Executive Director	A member of the Board of Directors of the Company who is not an employee
Listing Price	KES 12 per share
PE	Price-Earnings Ratio
Par Value	Nominal value of the Company's shares, which for the time being is KES 1 per share
RBA	Retirements Benefits Authority
Registrar	Co-operative Bank Limited – Share Registrar Services, the share registrar appointed in connection with the Listing whose name and address appears on page 10 (Corporate Information) of this Listing Statement
SACCO	Savings and Credit Cooperative Society
Shares	Ordinary shares of KES 1/- each in the issued share capital of the Company

5. Key Features of the Listing

This Section contains a summary of the Listing of Shares. This Listing Statement should be read in full along with other documents available for inspection for full appreciation of the subject matter.

5.1. The Listing

Home Afrika is pleased to be joining the Nairobi Securities Exchange (NSE). With the consideration that raising of capital is not an immediate reason for the Company to list at the NSE, Home Afrika has opted to list by way of introduction on the Growth Enterprise Market Segment (GEMS) of the NSE. Listing will provide a broader base of shareholders and added liquidity for existing shareholders.

Home Afrika is an industry pioneer by being not only the first company to be listed on the GEMS, but also the first real estate company to be listed on the NSE.

5.2. Transaction Overview

Transaction:	Listing by Introduction on GEMS segment of NSE.
Issuer:	Home Afrika Limited.
Shares:	405,255,320 ordinary shares each of KES 1/- each comprising the issued and fully paid up share capital of the Issuer.
Status:	Upon listing, freely transferable ordinary shares ranking pari passu with each other.
Trades:	Shares will be fully dematerialized and uploaded into the CDS prior to trading.
Compliance:	The Listing is subject to the requirements of the Articles, The Companies Act, The Capital Markets Act, the Nairobi Securities Exchange Listing Manual and the Central Depositories Act.
Price per Share:	KES 12 per share.
Nominated Advisor:	NIC Capital Limited.
Market Segment:	GEMS.
Expected Listing Date:	15th July, 2013
Governing Law:	Kenyan Law.

5.3. Basis for setting listing price

The listing price has been determined by the Company in consultation with the Nominated Advisor on the basis of three valuation techniques, Free Cash Flow to Firm (FCFF), Economic Value Added (EVA) and Comparable Company Analysis (CCA). In addition, the listing price has also taken into consideration the current macro-economic outlook and historical and projected financial performance of the Company.

The listing price has therefore been determined on the following basis:-

- Share prices of comparable companies in Kenya and other developing countries; further looking at the relative market capitalization; return on average equity and implied land values, among other real estate valuation techniques. By applying this methodology a valuation range was arrived at for the Company.
- Kenya and the region's macro-economic outlook.
- The historical and projected financial performance of the Company.
- The Free Cash Flow to the Firm (FCFF) by taking into account the earnings before interest and taxes, net out and reinvestment needs and arriving at an estimate of the free cash flow to the firm.
- The Economic Value Added (EVA) methodology to determine the true economic profit of the Company and further assess the amount by which earnings exceed or fall short of the required minimum rate of return for shareholders.

Furthermore, individual Discounted Cash Flow valuations were carried out of the various special purpose vehicles, thereafter taking into account HAL's interest in each and consolidating the same.

5.4. The Company

Home Afrika Limited was incorporated in Kenya on 17th July 2008 under the Companies Act as a private limited company with a share capital of KES 100,000 divided into 1,000 shares of KES 100 each. Initially, a decision was made that three holding companies should be incorporated to hold shares in the Company, in trust for the people who had paid for shares in the Company. Home Afrika Continental Limited (HACL), Home Afrika Investments Limited (HAIL) and Home Afrika Holdings Limited (HAHL) were therefore incorporated for this purpose.

However, in a general meeting held on 30th April, 2011, shareholders resolved that the company be converted into a public company, the authorized share capital be increased from KES 100,000.00 to KES 500,000,000 and that the holding companies be collapsed. As a result, Home Afrika is now a public limited company owned by 128 founder shareholders with a mandate to undertake real estate projects in Africa.

By way of a shareholders resolution dated 28th July 2012, the shareholders of the Company resolved to split the then KES 100.0 ordinary shares in the Company into 50,000,000 shares of KES 10.00 each, out of which 40,525,532 shares have been issued and fully paid up. A further split was carried out following a shareholders resolution dated 26th January 2013 resulting in the current 500,000,000 ordinary shares of KES 1.00 each, out of which 405,255,320 shares have been issued and fully paid up.

The subsidiaries of the Company (set up as special purposes vehicles for housing developments) comprise of Suburban Limited (Ngong Road), Morningside Management Limited (Ngong Road), Home Afrika Communities Limited (Kiambu) Mitini Scapes Development Limited (Kiambu), Kikwetu Development Limited (Athi River), Lakeview Heights Development Limited (Kisumu) and Llango Development Limited (Kwale).

5.5. Business Prospects

Home Afrika seeks to provide quality, sustainable and affordable housing in Africa and the areas of growth include undertaking a mix of commercial, residential and land subdivision projects within Kenya. The devolved government system in Kenya has opened up opportunities for county development thereby presenting Home Afrika with an opportunity for growth. Home Afrika is also focused on moving into regional countries including Tanzania, Uganda, South Sudan, Ethiopia and Rwanda through its "Go Africa" strategy.

Home Afrika is focused on listing on the newly developed segment on the Nairobi Securities Exchange - the Growth Enterprise Market Segment (GEMS).. The GEMS market allows small and medium sized companies to raise substantial initial and ongoing capital, while benefiting from increased profile and liquidity within a regulatory environment designed specifically for the needs of such companies.

Home Afrika is currently involved in three projects valued at over KES 10.0bn and is focusing on undertaking seven to ten projects as part of its five year strategic plan. This ambitious growth plan seeks to push Home Afrika to achieve its strategic objective of attaining a project turnover of USD 1.0bn within the next five (5) years.

5.6. Key Investment Considerations

5.6.1. Increasing demand for housing

- The demand for affordable housing is significantly increasing worldwide with 5 million new units required per year according to UN Habitat. In Kenya, the housing demand (Continues) to increase particularly in the urban areas. According to the Ministry of Finance, current demand is estimated at 200,000 units per annum with supply estimated at 35,000 units in urban areas in the country. With such a massive supply gap, the private sector is expected to play a critical role in meeting the shortage.

- Increase in population especially in the urban and peri-urban areas pushes up the demand for housing units and hence there is currently more pressure to supply affordable housing units for this populace. A high proportion of the Kenyan population lies within the low and middle income class and this trend is expected to continue rising.

5.6.2. Government devolution

- The devolved government system prescribed in the new constitution will create more opportunities for HAL to take part in real estate development in the counties.

5.6.3. Regional growth prospects

- The regional integration of the East African Community as a trading block presents an attractive investment opportunity for HAL to tap into housing development opportunities in the region.

- Through the Company's "Go Africa" strategy, Home Afrika will be seeking to take advantage of the regional economic growth by expanding into Tanzania, Uganda, Southern Sudan, Ethiopia and Rwanda.

5.6.4. Real Estate Investment Trusts (REITs)

- The introduction of Real Estate Investment Trusts (REITs) in Kenya will structure the flow of capital into commercial real estate, thereby harnessing capital for growth and development. REITs will enable corporations to invest in real estate while reducing corporate income taxes.

- REITs will further help individual investors enjoy the benefit of owning an interest in the real estate market and have the benefits of fast and easy liquidation of investments. In summary, REITs will further stimulate growth in the real estate space.

5.6.5. Experienced Board

- The Home Afrika Limited Board comprises members who have extensive experience in various industries cutting across finance, real estate, medicine, investment and banking sectors and therefore are very vital in formulating company strategies for superior growth.

5.7. Reasons for the Listing

The primary purpose of the Listing is to offer Home Afrika and its shareholders the benefits of being listed on the stock market i.e. liquidity, price discovery and branding advantage.

5.8. Key Listing Statistics

Details	Statistics
Listing price per share	KES 12
Par value of each share before the share split	KES 10/-
Share split ratio	10:1
Par value of each share after the share split	KES 1/-
Total number of issued shares before the share split	40,525,532
Total number of issued shares after the share split	405,255,320
Net profit for the twelve (12) months ended 31 December 2012	KES 167,679,951
Dividend declared and to be paid for the twelve (12) months ended 31 December 2012	KES 38,847,000
Dividend per share ("DPS") for the twelve (12) month period ended 31 December 2012 before share split	KES 0.96
Dividend per share ("DPS") for the twelve (12) month period ended 31 December 2012 after share split	KES 0.10
Earnings per share ("EPS") for the twelve (12) months ended 31 December 2012 before share split	KES 4.14
Earnings per share ("EPS") for the twelve (12) months ended 31 December 2012 after share split	KES 0.41

5.9. Transaction Timetable

Quarterly General Meeting	27th April, 2013
Board Approval of Listing and Share Split	28th May, 2013
Approvals from the NSE	04th July, 2013
Deadline for uploading the shares into CDS	05th July, 2013
Dispatch of Listing Statement to shareholders	11th July, 2013
Listing and Commencement of Trading at the NSE	15th July, 2013

5.10. Expenses of the Offer

The expenses of the Listing which will fall under the account of the Company are estimated at KES 9,205,892.

Professional fees and related costs	*KES
Nominated Advisor	4,640,000
Reporting Accountants	650,000
Legal Advisors	1,102,000
Registrars**	Nil/ Waived
Media & PR	2,088,000
NSE listing fees	145,892
Miscellaneous Expenses (Printing)	580,000
Total	**9,205,892**

*** These figures are inclusive of VAT (where applicable) and may be subject to change.** The expenses of the Offer amount to 0.19% of the Offer amount or KES 12 per Offer Share.

**Co-operative Bank Share Registrars have waived the listing fee but will be billing Home Afrika registration fees of KES 180,000 on an annual basis in addition to other relevant fees including AGM attendance, commissions on dividend processing and bonus/ rights issues.

5.11. Lock-In Period for Existing Shareholders

None of the existing shareholders beneficially owns a 3% interest in the voting power of the Issuer and have therefore not undertaken a lock-in period. However, as a sign of commitment to the growth of the company and confidence in the long-term fundamentals of HAL, Home Afrika shall strive to ensure the continued retention of suitably qualified management on and after the Listing. In particular, HAL will endeavor to ensure the retention of members of the senior management team for a period of at least 12 months following the Listing (except where such staff will be relieved of their duties following the commission of a grievous offence deemed inappropriate, or as adversely affecting the integrity of the company in its status as a listed company).

5.12. Dividend Policy

Each of the companies within HAL has a policy to pay dividends when permitted by law and subject to consideration

5. Key Features of the Listing *(Continues)*

of its investment requirements, financial condition including its level of indebtedness and liquidity requirements, and its results of operations.

As a holding company, HAL's ability to pay dividends depends on the dividends it receives from its subsidiaries and affiliates.

As with its individual subsidiaries, HAL will follow a policy of paying dividends whenever permitted by its results of operations, financial position, investment and liquidity requirements, legal reserves and minimum capital requirements.

The declaration, amount and payment of dividends is determined, subject to the limitations set forth above, by majority vote of the Shareholders at an annual general meeting of the Company and generally, but not necessarily, on the recommendation of the board of directors.

6. Kenyan Economic Overview

6.1. Economic Overview

Kenya's economy expanded by 4.7% in Q3 of 2012 compared to the 4.0% growth recorded in the same quarter of 2011. The expansion was more robust in comparison to the preceding quarters of 2012 primarily due to strong performances in the Agriculture and Forestry, Fishing, Manufacturing, Transport and Communication industries and a turnaround in the performance of the Electricity industry. On the other hand, Construction, Hotels and Restaurants and Mining and Quarrying experienced decelerated growths over the same period. Wholesale and retail trade registered strong growth despite deceleration compared to the corresponding quarter of 2011. Seasonally adjusted Gross Domestic Product, which compares consecutive quarters, expanded by 2.2% in Q3 of 2012, which was significantly better than the 0.5% recorded in the Q2 of 2012.

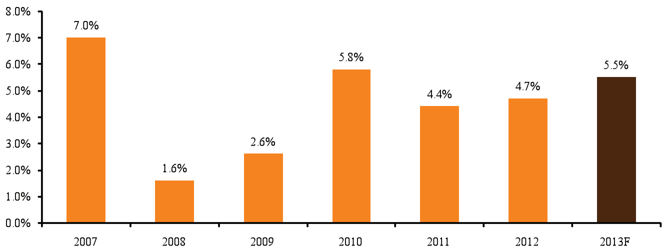
Q3 2012 was characterized by low inflation rates, high interest rates and stable exchange rates of the shilling against major world and regional currencies. Inflation averaged at 6.4% during the review period from a high of 16.5% experienced during Q3 of 2011. The ease in the inflationary pressure was mainly on account of lower food and fuel prices.

During Q3 the exchange rate averaged at KSh 84.60, KSh 106.3 and KSh 108.37 against the US Dollar, Euro and 100 Japanese Yen, respectively. Regionally, the Kenya Shilling exchanged at Tanzania Shilling 18.63 and Uganda Shilling 29.62 while the South African Rand averaged at KSh 10.2. During Q3 of 2011, the exchanges rates were KSh 94.6, KSh 133.5 and KSh 122.9 against the US Dollar, Euro and 100 Japanese Yen, respectively. High interest rates that prevailed during Q3 were on account of the Central Bank's sustenance of a tight monetary policy stance. Expansion in broad money supply slowed to 13.6% during Q3 compared to a growth of 18.0% during a similar period of 2011. Weighted interest rates on commercial banks loans and advances rose significantly from an average of 14.4% during Q3 of 2011 to 20.0% in the corresponding period of 2012.

Economic activity in Q1 2013 remained subdued on the back of the intense electioneering period witnessed mostly in the months of January 2013 and February 2013. Consequently, this held back private sector credit growth as well as delayed investments across the different sectors of the economy. Overall inflation remained benign closing the month of March 2013 at 4.1%. Although the short term rates edged higher with 91 day T-bill, 182 day T-bill and 364 day T-bill rates rising by 2.4%, 2.7% and 1.0% to close the Q1 2013 at 10.5%, 10.8% and 12.7% respectively, we consider this trend to be temporary owing to the consistency of the monetary policy that the Central Bank of Kenya (CBK) has adopted.

The Kenya Shilling weakened in the early part of Q1 2013 against all the major currencies. However, following the peaceful election polls and reduced risk of economic sanctions, the Kenya Shilling quickly regained its position to close Q1 2013 at KES/USD 85.6, KES/GBP 129.6, KES/YEN (100) 90.9 and KES /ZAR 9.3 respectively.

Overall, the Kenyan economy is expected to grow at a rate of 5.5% in 2013 on the back of a stable macro-economic environment, supportive monetary policy and favorable weather. The downside risks to the growth forecast will be the twin deficits of current account and the budget.



Source: Kenya National Bureau of Statistics, World Bank

6.2. Kenyan Sector Analysis

6.2.1. Agricultural

Agriculture sector started the year with poor prospects after a number of parts of the country suffered severe frost during the first quarter which negatively impacted on production of tea and other vulnerable crops, while the delay in the onset of long rains led to suppressed agricultural activities. Consequently, the sector only managed a moderate growth of around 2.0% during the first half of 2012. During Q3 of 2012, however, the sector's performance improved substantially to 6.9% compared to a paltry growth of 0.2% in the same quarter of 2011.

The remarkable growth was largely supported by improved and well spread rains during the second and third quarters of the year. Negative effects of maize disease, mainly experienced in parts of the South Rift, were sufficiently offset by good rains in most parts of the country. Consequently, production of key crops including maize, beans, sugar cane and fruits increased significantly. However, production of cut flowers and vegetables declined during the review period. Over the same period, milk intake to the formal milk sector also declined.

6.2.2. Financial Intermediation

The sector overcame the bottlenecks of high interest rates to attain one of the most impressive growths during Q3 of 2012. The financial intermediation sector grew by 6.8% during the reference period which was slightly lower than the 7.6% the sector reached in Q3 of 2011.

The net foreign assets of the banking system increased from a revised figure of KSh 331.7bn in June 2012 to KSh 352.0bn in September 2012 while domestic credit increased by 4.5% from KSh 1,550.5bn in June 2012 to KSh 1,660.1bn in September 2012. Consequently, extended broad money supply M3 increased from KSh 1,970.5bn to KSh 2,060.6bn over the same period. Stock market performance rallied strongly in September 2012, with gains in the Nairobi Securities Exchange 20 Share and Nairobi All Share Index. The NSE 20 share index rose from 3,704 points in June to 3,972 points in September 2012.

6.2.3. Manufacturing

During Q3 of 2012, the sector is estimated to have expanded by 4.8% compared to a growth 2.3% during the same quarter of 2011. The growth in the sector was largely supported by strong expansion in the manufacture of foods mainly buoyed by a rebound in processing of sugar which expanded by 48.7% during Q3 of 2012 compared to a contraction of 38.2% in a similar quarter of 2011. Other food products whose processing increased significantly include beer, wheat flour and maize meal which grew by 17.1%, 16.3% and 9.3% respectively. However, soft drinks and dairy products declined considerably by 10.9% and 10.4% respectively. Manufacture of motor vehicle tyres, laundry and toilet soaps recorded the highest growths in the non-food category over the same period.

6.2.4. Electricity and Water

Electricity and water supply recorded 13.7% growth in Q3 of 2012 compared to a contraction of 11.1 % over a similar period in 2011. The turnaround was primarily due to high levels of rainfall experienced in the water catchment regions for electricity generation. Hydro electricity generation expanded dramatically by 39.0% during Q3 2012 compared to the corresponding quarter of 2011. However, generation of power through geo-thermal and thermal sources declined by 2.3% and 25.2% respectively. Consequently, contribution to the Gross Domestic Product of the resulting production mix of electricity was much higher due to reduced thermal generation which requires more expensive intermediate inputs compared to hydro power generation. Electricity production increased to 511.3 million KWh during Q3 compared to 489.9 million KWh in the same period of 2011.

6.2.5. Hotels and Restaurants

The sector's growth slowed to 1.1% during Q3 of 2012 from 2.1% in the same quarter of 2011. This slowdown was primarily on account of terrorism threats posed by the political instability in Somalia and a decline in the economic fortunes of major tourist sources like the USA and European countries. As a consequence, tourist arrivals through Jomo Kenyatta and Moi International Airports declined from 383,110 visitors in Q3 of 2011 to 342,135 visitors during Q3 of 2012.

6.2.6. Transport and Communication

The sector is estimated to have grown by 5.2% during Q3 2012 compared to a growth of 3.9% in the same period of 2011. The growth was mainly supported by strong expansion in the communication sub-sector which accounted for 54.5% of the total growth in the industry. The sub-sector expanded by 5.9% during the reference period, while land transport and storage activities grew by 4.5% in the same period.

Consumption of light diesel and jet fuel, which reflect the activities of commercial transport, recorded mixed performances. Consumption of light diesel increased by 5.0% in Q3 of 2012 compared to the same quarter of 2011 while that of jet fuel decreased by 2.1% over the same period. Port activities expanded, as reflected in the increased volume of cargo handled, despite a contraction of 24.1% in exports tonnage during the review period. Import tonnage increased by 11.4% thereby offsetting the impact of the decline in export tonnage to result in a growth of 6.1% of volume of cargo handled at the port during Q3 of 2012 compared to the same quarter of 2011.

6.2.7. Construction

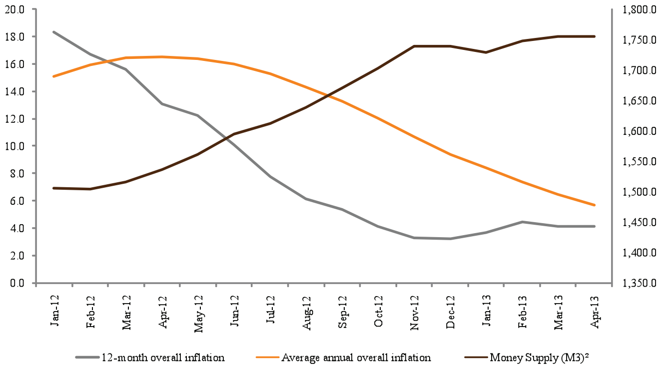
The construction industry is estimated to have expanded by 0.6% during Q3 of 2012 compared to a growth of 3.6% in a similar period of 2011. The considerable slowdown in the activities of this sector was mirrored in the production and consumption of cement whose growths slowed to 0.6% and 1.5% during Q3 compared to expansions of 8.9% and 7.7% respectively over a similar period in 2011. This slowdown is attributable to the prevailing high interest rates. Kenyan Macroeconomic Overview

The movements in interest rates, exchange rates and inflation are summarized below. The data has been sourced from the Central Bank of Kenya as well as from the Kenya National Bureau of Statistics.

6.2.8. Inflation

The average annual inflation rate for 2012 was at 9.4% compared to 14.0% in 2011. Overall 12-month inflation eased further from 3.3% in November 2012 to 3.2% in December 2012 reflecting further easing in fuel inflation. Reflecting the sustained slowdown in overall inflation in 2012, annual average inflation declined from 10.7% in November 2012 to 9.4% in December 2012. Fuel inflation eased as indicated by a decline in 12-month inflation in the 'Housing, Water, Electricity, Gas and other Fuels' category from 4.5% in November 2012 to 3.9% in December 2012.

Non-food, non-fuel inflation declined from 4.8% in November 2012 to 4.8% in December 2012. The decline is reflected in the easing of 12-month inflation in all baskets except the 'Alcoholic Beverages, Tobacco and Narcotics', and 'Recreation and Culture' baskets. Inflation in 'Furnishings, Household Equipment and Routine Household Maintenance', 'Clothing and Footwear', 'Miscellaneous Goods and Services', 'Health', and 'education' consumption baskets declined to 5.2%, 6.2%, 5.6%, 4.3% and 6.6% respectively in December 2012, compared with 5.5%, 6.4%, 6.0%, 4.4% and 6.7% respectively in November 2012.



Source: CBK and KNBS

Inflation rose marginally in the first two months of 2013 after a general downward trend in 2012. Overall inflation rose from 3.7% in January 2013 to 4.5% in February 2013 before easing to close the month of April 2013 at 4.1. The main cause of rising inflation was partly attributed to rising food and international oil prices. The electioneering period may have also contributed to the rising inflation because of increased money in circulation from the various political activities. Going forward, inflation is expected to remain at single digit levels due to the favourable weather conditions that should result into increased food production. However, the volatile international oil prices may upset this gain.

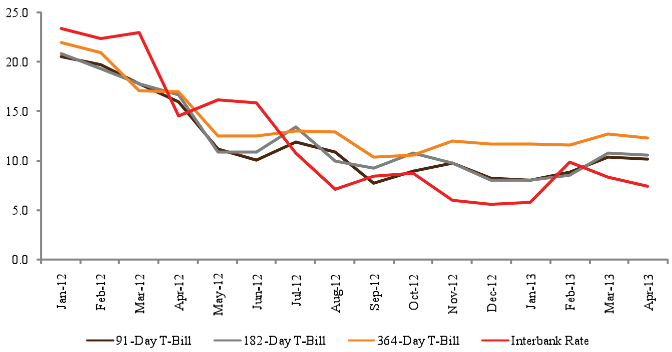
6.2.9. Interest Rates

The 91-day, 182-day and 364-day T-bill rates dropped from a monthly average of 18.3%, 18.3% and 21.0% in December 2011 to 8.1%, 9.9% and 11.7.0% in December 2012 respectively. Interbank lending rates also recorded a drop driven by high liquidity within the money market owing to high levels of maturing T-bills. In December 2011, the interbank lending rates stood at an average rate of 25.0% and reduced to an average rate of 5.6% in December 2012. The decrease was consistent with the recent easing of the monetary policy stance.

The Central Bank Rate remained at 11.0 percent in the month of December 2012, the level set by the Monetary Policy Committee in November 2012.

Short term rates marginally edged higher during Q1 2013 with 91 day T-bill, 182 day T-bill and 364 day T-bill rates rising by 2.4%, 2.7% and 1.0% to close Q1 2013 at 10.5%, 10.8% and 12.7% respectively. Despite the marginal rise in short term rates, we consider this trend to be temporary owing to the consistency of the monetary policy that the Central Bank of Kenya (CBK) has adopted. Moreover, CBK has increased the frequency of holding T-bill auctions wherein all the three papers are to be auctioned on a weekly basis as opposed to having the 364 day T-bill being auctioned on a biweekly basis. This strategy will provide flexibility to CBK with regards to managing the T-bill rates in the face of potential high borrowing demand.

Interbank rate was also on an upward trend during Q1 2013 hitting a high of 10.1% before declining to close Q1 2013 at 8.4%. The decline in interbank rate was on the back of high liquidity within the money market owing to high levels of maturing T-bills.



Source: CBK

6.2.10. Exchange Rates

The Kenya Shilling was relatively stable against the US dollar, the British pound and EAC national currencies in December 2012. The stability was attributed to prudent management of domestic liquidity and by extension Monetary Policy. The Kenya Shilling however, depicted mixed performance against the Pound Sterling and the Japanese Yen.

The Kenyan Shilling over the course of 2012, however, gained 0.5% against the Euro and 10.3% against the Japanese Yen. The currency gained by 10.7% against the Ugandan Shilling over the course of 2012.

The Kenya Shilling came under pressure at the beginning of the year 2013 when the Monetary Policy committee reduced the CBR rate from 11.0% to 9.5%. Coupled with increased liquidity in the money market, and flight from the Kenya Shilling ahead of the General Elections, the Kenya Shilling depreciated to low levels of KES 87.6 against the US Dollar in February 2013.

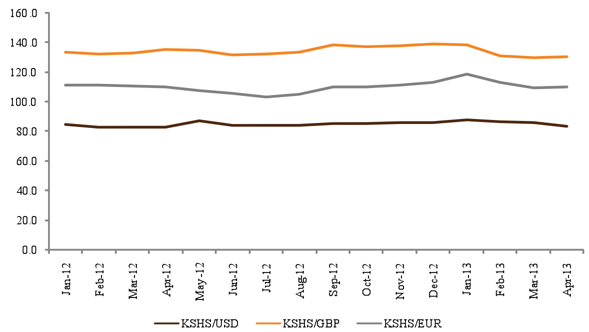
CBK, however, supported the local currency through mopping up of excess liquidity by selling US Dollars. The Kenya Shilling was also boosted by the peaceful General Elections in March 2013. The Kenya Shilling recovered to the January 2013 opening level of about 86.0 against the Dollar, but depreciated against both the Sterling Pound and Euro by 7.2% and 4.5% respectively in Q1 2013.

The official foreign reserves declined to below 4 months of import cover from late January 2013 mainly as a result of CBK's support for the local currency. This position coupled with the widening current account deficit leaves the local currency vulnerable to exchange rate shocks. However CBK is keen to support the shilling and thus we do not expect it to depreciate drastically.

Regionally, the Kenyan Shilling gained 9.3% against the South African Rand to an average of KES 9.25 in March 2013. Against the Ugandan Shillings, the Kenyan Shilling gained by 3.2% to exchange UGS 30.30 but lost 2.3% to trade at 19.10 to the Tanzania shilling.

Currency	Jan 2012	Mar 2012	Jun 2012	Oct 2012	Dec 2012	Mar 2013
KES/USD	84.59	83.06	84.23	85.18	86.03	85.64
KES/GBP	133.17	132.75	131.42	136.95	139.02	129.61
KES/EUR	111.61	110.86	105.96	110.37	113.56	109.56
KES/JPY (100)	111.25	101.34	106.15	106.99	99.90	85.75
USH/KES	27.49	30.28	29.38	30.41	31.26	31.16
TSH/KES	18.92	19.14	18.71	18.63	18.42	19.42

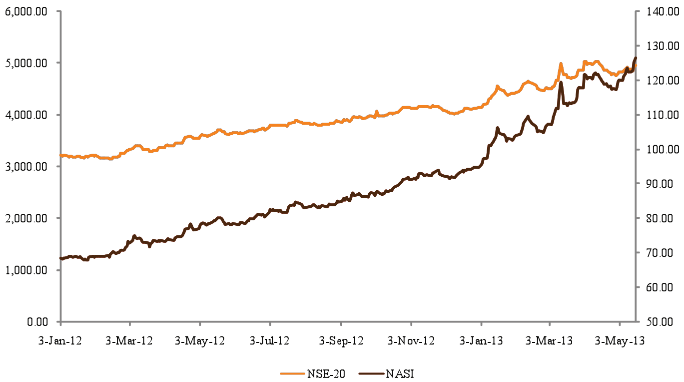
Source: Central Bank of Kenya.



7. Kenyan Equity Market Overview

Activity at the NSE remained strong during Q1 2013 despite the high political activities. Most stocks rallied on the back of a peaceful election process which improved investors' confidence. The momentum however slowed down soon after the elections due to profit taking. Additionally, the election petition at the Supreme Court challenging the outcome of Presidential results created uncertainty and led to a wait-and-see stance.

The NSE 20 Share Index rose by 18.2% while the NASI rose by 24.6% during Q1 2013. Volume traded over the period was equally high as compared to those traded in Q1 2012. The drive to make Nairobi as the financial hub for East and Central Africa has elevated the NSE and seen increased attention from foreign investment firms seeking to tap into the region's growth.



Source: NSE

7.1. Recent Development at the Nairobi Securities Exchange

In October 2011, the Nairobi Stock Exchange changed its name to the Nairobi Securities Exchange paving the way for introduction of a wider range of products. The name change, which was the first since the exchange was established as a voluntary association of stockbrokers in 1954, was one of the steps that were to be completed as part of a demutualization process. The name change will widen the NSE's scope beyond a "stock" exchange to a "securities" market where other products such as futures, derivatives and Real Estate Investment Trusts (REITs) are traded. Furthermore, in November 2011, the NSE launched the FTSE NSE Kenya Index Series which comprises of the FTSE NSE Kenya 15 Index and the FTSE NSE Kenya 25 Index. The indices were designed to be used as the basis for the creation of structured products, ETFs and index tracking funds.

In 2011, the market deepened as Transcentury Limited and British-American Investment Company Limited listed by way of introduction and through an initial public offer respectively. In addition to these events, the NSE partnered with the FTSE to launch two new indices namely the FTSE-NSE 15 and the FTSE-NSE 25. These two indices are market-weighted indices and are meant to assist investors in designing Exchange Traded Funds (ETF's). The market deepened even further in 2012 with the listing by introduction of Longhorn Publishers Limited.

During the same year, the NSE also carried out the reclassification of companies within its index. The equities have been classified under ten different sectors while the debt securities including preference shares have been grouped into three categories. The reclassification will go a long way in bringing the NSE closer to international best practice and will enable domestic and international investors to compare company and sector performance more easily.
In 2013, the NSE launched the Growth Enterprise Market Segment (GEMS) of the exchange. The segment will enable Small and Medium Size Enterprises raise capital while at the same time increasing the number of listed companies at the NSE.

Going forward, the introduction of Real Estate Investment Trusts (REITs) is set to be implemented by the end of 2013. These will allow companies to list securities that will sell like stock on the securities exchange and at the same time investing in real estate directly, either through properties or mortgages. The predicted economic growth in Kenya is looking to lift property pric¬es higher, and with the demand for housing in the middle and lower end of the property market considerably high, REITs are expected to perform quite well.

8. Overview of the Housing and Real Estate Sector

The housing sector in Kenya is characterized by inadequate affordable and decent housing. Low-level urban home ownership is estimated at 16 percent with the presence of expansive slums and informal settlements. It is estimated that out of a total 200,000 housing units required annually in urban areas, only 35,000 units are produced. The shortage of housing for low-income households is particularly acute in urban areas, with only 20 per cent of houses produced catering for this group. Some of the challenges that have contributed to this acute shortage are further discussed below.

Investment in the housing sector has also been minimal and sporadic. This is as a result of lack of an enabling environment for private sector participation in the housing delivery process particularly for lower middle and low-income groups; low government funding; high cost of finance; lack of serviced land; high cost of building and construction materials; inappropriate building and construction technologies; limited research on low cost building materials and construction technologies; stringent planning regulations and standards and high cost of infrastructure.

8.1. Demand/ Supply for housing

The Kenyan urban housing sector is characterized by inadequate affordable and decent rental housing options, low-level of home ownership (about 16%), extensive and inappropriate dwelling units including slums and squatter settlements. It is estimated that while a total of 200,000 housing units are required annually in the urban areas to cater for the backlog, only about 35,000 units are developed every year.

The low and middle income class forms a high proportion of the Kenyan population and the trend is expected to continue increasing. Increase in population especially in the urban and peri-urban areas pushes up the demand for housing units and hence more pressure is currently on the supply of affordable housing units for this populace. However, due to the fact that the supply of houses mainly depends on land, the challenge has always been the cost of land and its availability. The price of land in urban areas has continued to increase over the years beyond the reach of many Kenyans. This is a major obstacle towards affordable housing developments. Due to the continued improvements in infrastructure by the GoK especially on roads, electricity and water, accessibility to the central business district will be easier and hence reduce congestion in CBD and its proximity. This will lead to establishment of further property developments in the Nairobi metropolitan areas including Kitengela, Ruiru, Thika and Kiambu.

The above projections create a great opportunity for investing in housing in Kenya with the demand for housing expected to increase further due to various contributing factors.

8.2. Economy

The Monetary Policy Committee (MPC) lowered further the CBR to 11.0% in the months of November and December 2012 from 13.0% in October 2012 on account of sustained decline in inflationary pressures, short term money market rates and stability of the exchange rates. Nevertheless, mortgage lending is still accessible to only a minority mainly due to high interest rates experienced throughout the year. A recent report titled "2012 Yearbook: Housing Finance in Africa" indicates that only 1.1% of the top 60.0% of income earners in Kenya have a mortgage while 3.4% have loans for home construction. This is against a backdrop of high financial inclusion estimated at 76.0% of urban persons aged 15 years and above having a bank account with a formal financial institution.

The Retirement Benefits Authority (RBA) allows pension contributions of up to 60.0% to be used to secure a mortgage. Kenya also has an emerging housing micro finance sector through SACCOs and NGOs catering for the lower end of the pyramid. According to the above report, these avenues have the potential to leverage assets worth KES 290.0bn and increase access for lower earning people who have accumulated substantial pension. The biggest players in this sector are Jamii Bora and NACHU who are currently developing several low cost housing estates in various parts of the country.

Furthermore, the commissioning of the National Land Commission is expected to spur further activity in the real estate sector.

8.3. Growing Middle Income Class Putting Pressure on the Residential Segment

Over the last seven years, a number of Kenyans have joined the middle income class due to improved economic activities that have opened up new job opportunities. The numbers of Kenyans who have joined the middle income class have increased from 2.9 million as at 2006 to 5.2 million as at July 2012. The wage bills have also grown over the period thus leaving the middle income class with reasonable disposal income to invest in capital goods such as housing.

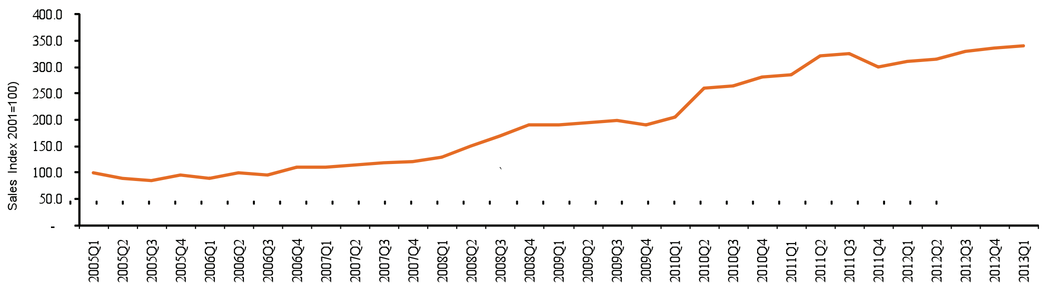
The growth in the middle income class on the back of improved economic conditions has resulted in increased demand of residential housing that so far outstretches the

	2006	2007	2008	2009	2010	2011	2012*
Kenyan Population (million)	36.1	37.2	38.3	38.6	39.8	41.6	43.0
% of Middle Income	8.0%	10.0%	10.0%	10.0%	11.0%	12.0%	12.0%
No. of Middle Income Class (million)	2.9	3.7	3.8	3.9	4.4	5.0	5.2

**CIA Estimates as at July 2012*
Source: KNBS, CIA World Factbook and NIC Capital Estimates

current market supply. Consequently, residential property mostly in the middle and upper income category has seen a price surge. The sales prices have grown by an estimated 50.0% since 2006, a clear indication of inadequate supply within the property market.

Figure 1: Hass Composite Sales Index

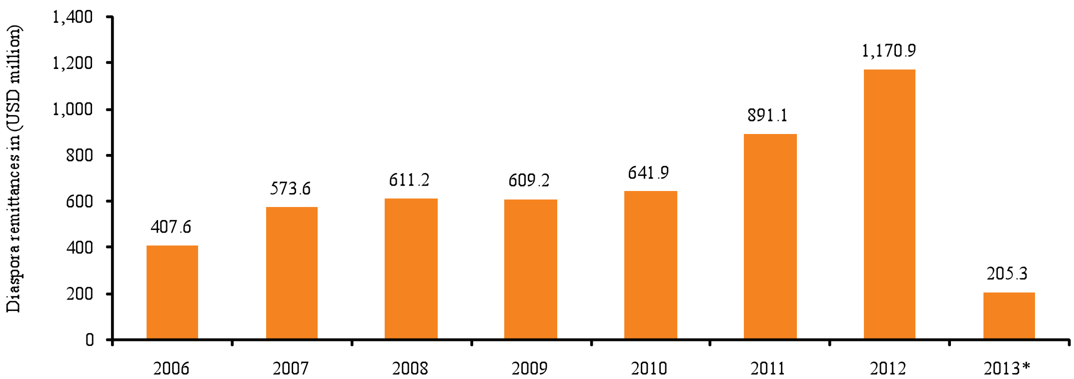


Source: Hass Consultants

8.4. Remittance from abroad

Remittances from abroad have grown by over 100.0% since 2006 to USD 891.1 million as at end of 2011 and USD 1,170.9 million as at December 2012. The growth in diaspora remittance has been driven by good economic prospects in developed economies as well as availability of investment opportunities in Kenya. Part of this remittance has remained invested in the property market. This trend is expected to continue in future creating more demand within the housing sub-sector.

Figure 2: Remittances from abroad



Note: refers to remittances for the period ending February 2013*

Source: CBK

8. Overview of the Housing and Real Estate Sector

(Continues)

8.5. East African Community Hub

The East African Community is one of the fastest growing regions in the world. Over the last decade, the region has experienced average growth of 5.8%, the second-highest of any economic block in the world, just below ASEAN (which grew at 6.1%). The EAC's growth has been fueled by rapidly growing trade between the EAC countries, which tripled in value over the last decade and could further increase. The EAC has also experienced unprecedented demographic growth, with a population growth of more than 30% over the last decade, from 110 million people in 2002 to 145 million people in 2012. By 2030, the five EAC countries will be home to an important market with a population of about 200 million.

The growth of the East African Community will also augur well for Kenya with Nairobi as the preferred central hub for the other member countries. This will lead to international corporates with interest in the East African market setting up shops in Kenya. This would at the same time create new opportunities for both Kenyans and other East Africans, leading to further demand for housing as more people look to settle in Nairobi and its neighboring towns.

8.6. Market Status

Property values have increased by 3.14 times since 2000. The Hass Composite Sales index shows a property price rise of 1.3% in the first quarter of 2012 and a 0.9% rise in the last year.

The annual average is representative of the average price of all properties offered for sale in Kenya. The average value for a property has increased from KES 7.1 million in December 2000 to KES 22.5 million in June 2012. The average value for a 4-6 bedroom property is currently KES 31.4 million while the average value for a 1-3 bedroom property is currently KES 11.1 million.

The Mix by Year is a measure of the percentage that each type of property represents in the market. In 2001, Apartments took up 23.5% of the market, Town Houses 24.5% of the market and Stand Alone Houses 52% of the market.

In 2012 however, Apartments took up 43.6% of the market, Town Houses 26.9% of the market and Stand Alone Houses 29.5% of the market.
Source: HassConsult

8.7. Property Market Trends

Demand for housing, particularly in urban areas, has continued to rise without requisite movement on the supply side. This has pushed prices up making the houses affordable to very few. Scarcity of well-located land in the city of Nairobi for example, has directed housing development along Mombasa and Kangundo Roads where land is still available at relatively lower prices.

In the process, the redevelopment option has been pursued by various developers. There is heightened activity in the development of apartments, to meet the ever increasing demand, in hitherto single family residential neighbourhoods of Kilimani, Kileleshwa and Lavington, with a view to minimize the costs of running single family residential homes (security/ gardener/ ground maintenance/ garbage collection/ utility bills etc).
Source: National Housing Corporation

8.8. Recent developments in the housing sector

The Government of Kenya is strategic in ensuring that the vision of "an adequately and decently-housed nation in a sustainable environment" is realized. The GoK has a mixture of various initiatives in place to facilitate the production of 200,000 housing units annually by 2012 in order to fill the huge housing gap in the country including:

- Implementation, review, monitoring and evaluation of the National Housing Policy to facilitate provision of adequate shelter and a healthy living environment at an affordable cost to all social economic groups in order to foster sustainable human settlements.
- Implementation of incentives and market re-engineering measures to attract private sector investment in the housing sector in favour of low income groups.
- Promotion of low cost housing building materials and appropriate construction technologies.
- Conducting a housing survey to provide data and inform investment in housing.
- Coordination of stakeholders in the housing and human settlements sector at local, national, regional and international level to inform housing policy.
- Improvement of landlord-tenancy relations to create confidence in the housing market.
- Facilitating provision of housing infrastructure to open up new areas for housing.
- Provision of loan facilities to Civil Servants for purchase or construction of residential houses.
- Developing housing units for sale and for rental by civil servants.
- Inculcating a maintenance culture to prolong the economic lives of the developed housing stock.
- Provision of effective and efficient services in estate management.

8.9. Market Outlook

8.9.1. Residential Market

High levels of inflation and interest rates in 2011 and 2012 had a severe negative impact on house prices, especially for those with variable interest rate mortgages. Borrowers who had taken out loans at the edge of their affordability found they were unable to manage the increased monthly costs with interest rates going up as high as 30.0%. However, the sector is slowly recovering following the reduction of interest rates to between 15.0%-20.0%. The financiers managed the situation by restructuring the loan terms instead of increasing the monthly repayments thereby maintaining a low level of non-performing loans.

Underlying demand for development land is still very high despite the skyrocketing land prices. The sector has also received a boost with the commencement of infrastructure construction of Tatu City, the proposed satellite city in Kenya which is set to continue following a court ruling against a winding up call. Demand for high end residential Town Houses and Stand Alone Houses on large acreages within the preferred suburbs continues to grow with asking rents reaching as high as USD 5,900 for a six bed-roomed house on 3 acres in Karen. Part of this demand is attributed to the expatriate community. The sector is expected to recover with interest rates slowly dropping and a relatively stable economy, together with the successful general election.

8.9.2. Retail Market

The fourth quarter of 2012 continued to see a proliferation of decentralized urban shopping malls in major cities and towns. Buoyed by an expanding middle class, improved infrastructure and an enduring property boom, supermarkets have continued to grow their market share and penetration outside the capital city as they become the preferred shopping outlets for many middle and high-income consumers in towns. Several supermarkets opened new branches across the country including Naivas at the Greenhouse on Ngong road, Nairobi and Nakumatt at Oasis Mall in Malindi. Oasis Mall achieved a pre-let rate of over 85.0% with the line shop tenants beginning their fit-outs from 01 December 2012 with a trading date of 01 February 2013. Mtwapa Mall anchored by Tuskys, the first and only contemporary retail centre in this area opened its doors in June 2012 and has transformed the retail atmosphere in the neighbourhood.

Marketing and letting have been intensified for proposed retail centers across the country. Garden City Mall on Thika Road and Two Rivers in Runda, Nairobi, continued to record strong interest from both local and international retailers who are seeking entry into the expanding local retail scene. Pre-letting of Garden City Mall stood at approximately 50.0% as at December 2012.

8.9.3. Office Market

The office market continued to witness high take up of new developments especially in Westlands and Waiyaki Way in Nairobi. Delta Corner and Skypark Towers which were completed in the 4th quarter supplying approximately 32,000 square metres achieved 100.0% take up by year end. Skypark achieved about 90.0% letting before completion. Demand for office space along Mombasa Road which is traditionally a quasi-industrial node remained low during the quarter with most projects struggling to achieve 100.0% occupancy long after completion. UpperHill area recorded limited supply of space in 2012, although most of the projects in this locality are due for delivery in 2013/2014. Parklands area is a new hot spot for commercial developments as it has witnessed numerous changes of user from residential to commercial. High construction and financing costs continued to eat into the rental yields and may have adverse effects on the sector if the present market parameters persist. Office sales were low and far between in the market in 2012. The last quarter of 2012 recorded sale prices for office premises ranging between USD 1,400 to USD 2,000 per square metre depending mainly on size and location. Average asking rents for new projects ranged between USD 11-13 per square meter per month exclusive of service charge and value added tax during the same period.

8.9.4. Industrial Market

The industrial market which has largely been owner occupied in the past is set to witness a major boost following the recent launch of the 5,000 acre Konza Technopolis. According to the Government, phase 1 of the proposed Technopolis dubbed "The African Silicon Savannah" has attracted major local service industry players, boosting its chances of success as foreign firms also line up for space in the project.

The flagship project under the Vision 2030 economic blueprint is set to position Kenya as the ICT powerhouse in Eastern Africa. It will house an international financial centre, a convention centre and a light electronic manufacturing plant. The city will be part of the Special Economic Zones that will replace the EPZs and is anticipated to create some 200,000 jobs.

8. Overview of the Housing and Real Estate Sector

(Continues)

Table 2: Rental Prices and Yields

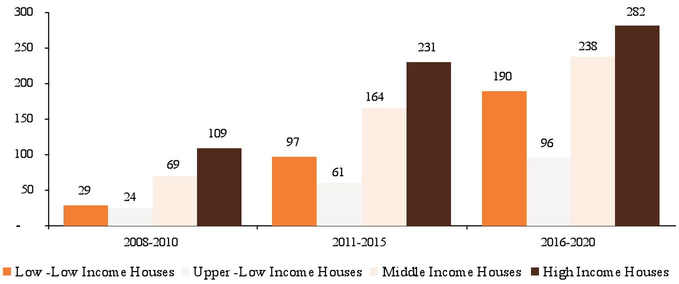
	Prime Rents	Prime Yield
Residential	US$4,400 per month*	6%
Retail	US$31.0 per sq m per month	10%
Offices	US$15.0 per sq m per month	9%
Industrial	US$4 per sq m per month	12%

*4 bedroom executive house – prime location

Source: Knight Frank LLP

8.10. Housing market projections

With increased investment from private sector and different incentives put in place by the government, it is estimated that a total of 4.3 million housing units will be produced between 2008 and 2030. Of these, 2.2 million units representing 52% of the total will be for low income urban households.



Source: Ministry of Housing

9. Information on the Company

9.1. History and Background of Home Afrika

Home Afrika Limited was incorporated on July 17, 2008 with Certificate Number C.157971 which was changed to C. 8/2011 following its conversion into a public company. It was initially established as a private company owned by Home Afrika Continental Limited and Home Afrika Investments Limited holding fifty percent (50%) each.

The main objective for which the Company was incorporated was for property development and management. The Company also has the power to establish and invest in subsidiaries for purposes of furthering its business objective, in line with the Company's present business. In line with its business, the Company either directly or through its various subsidiaries owns several properties further outlined in section 9.4 of this Listing Statement.

9.2. Key Milestones

2013	• Home Afrika Limited seeks to list on the Growth Enterprise Market Segment of the NSE
2011-2012	• HAL initiates three new projects including Lakeview Heights in Kisumu county, Llango in Kwale county and Kikwetu in Machakos county
2010	• HAL is invited to partner in the Migaa Development project set to be the largest gated community in Kenya
2009	• HAL gets its first major project Morningside Office Park at a cost of KES 1.0bn set to be completed in 2010
2008	• In July 2008 the company is registered under the name Home Afrika Limited with a capital outlay of KES 200.0mn and 120 shareholders

9.3. Operational Overview

Home Afrika Limited is a Public Company formed in 2008 that aims to grow to be the largest Real Estate Developer in Africa. Home Afrika seeks to provide quality, sustainable and affordable housing around Africa. Home Afrika Limited has 128 founder shareholder members that have contributed to the phenomenal growth of the Company. Chaired by Arch. Lee G. Karuri OGW, the Board of Directors is committed and devoted to ensuring that Home Afrika Limited enhances stakeholder value by laying strategies for growth.

The areas of growth for HAL include undertaking property development and management within Kenya. The devolved government system in Kenya has opened up opportunities for county development and HAL's "Go County" Strategy. Another critical growth area for Home Afrika Ltd that will see it moving into regional countries of Tanzania, Uganda, Southern Sudan, Ethiopia and Rwanda is through its "Go Africa" Strategy.

The Company is focused on listing on the newly developed segment on the Nairobi Securities Exchange the Growth Enterprise Market Segment (GEMS). The GEMS market allows small and medium sized Companies to raise substantial initial and ongoing capital, while benefiting from increase profile and liquidity within a regulatory environment designed specifically to the Company's needs.

Home Afrika Limited is currently involved in three (3) projects valued at over KES 10.0bn and is focusing on undertaking seven (7) to ten (10) projects as part of its 5 year Strategic Plan. This remarkable growth plan seeks to push Home Afrika to achieve its strategic objective of attaining a project turnover of USD 1.0bn within the next five (5) years.

9.4. Home Afrika Limited and its Subsidiaries

9.4.1. Completed Projects

9.4.1.1. Morningside Office Park

Morningside Office Park is Home Afrika's premier project. A signature development on Ngong Road, it was designed as a preferred business address for professionals and medium sized businesses seeking office space within easy access to the Central Business District.

The Office Park is a modern, uniquely designed and environmentally friendly building. Established through a Joint Venture (JV) company known as Suburban Limited, the project is complete and is professionally managed by Morningside Office Park Limited which is the management company owned by the buyers. Morningside Office Park Limited has 36 office suites and offers basement parking, roof top gardens and conference facilities to its buyers.

9.4.2. Current Projects

9.4.2.1. Migaa - Kiambu

Migaa is a master piece development that provides the ultimate backdrop for an extra ordinary and affordable life with its theme 'Explore Life'. Migaa provides an astounding array of amenities such as an 18 hole golf course, over four thousand homes, hotels, schools, a world class hospital, recreational facilities as well as a commercial center and office park. Set on a sprawling 774 acres in the Kiambu County, Migaa is set around new infrastructure developments in the area, including by-passes, highways, and in close proximity to JKIA and Westlands.

Established through a joint venture company Home Afrika Communities, the project has achieved one of the highest capital gains in the region, and is highly rated by the banking industry due to its consistency in achieving its financial goals.

With the Infrastructural development well under course, Migaa will provide an impressive menu of amenities including the afore mentioned 18-hole Golf Course, various sporting and recreational facilities, hospitality services, commercial nodes , shopping centers and restaurants in addition to education, medical and communal facilities.

Migaa is being developed by a Special Purpose Vehicle (SPV), Home Afrika Communities Ltd in which Home Afrika has 60% shareholding. The Project is in progress and is expected to be complete in the next 5 years.

9.4.2.2. Mitini Scapes – in Migaa

Mitini Scapes was incorporated in April 2011 with the purpose of developing over two hundred and fifty homes in Migaa on 14.4 acres in three phases; each phase being completed within a calendar year. This residential development consists of various house types including Duplex Apartments, Value Cottages, Superior Value Cottages as well as Studio Apartments. With phase one of construction ongoing, Mitini Scapes homes are nearly complete, with show houses that were completed at the end of June 2013. Mitini Scapes will be surrounded by a signature collection of amenities including golf, sporting and recreational facilities, hospitality services, education and medical facilities.

9.4.3. New Projects

9.4.3.1. Kikwetu – Machakos County

The Site

Kikwetu will be set on 1,000 acres in Machakos Ranch, located off Nairobi-Mombasa highway, approximately 60km from Nairobi. The site is located in an area that enjoys excellent connectivity with all modes of transport including highways, bypasses, rail and air. The plot stretches all the way to the railway line and there is a seasonal stream flowing into it. The site lies along the railway line, 20km from proposed Konza ICT City and the development shall establish a commuter train station for its residents' transport. The site shall have access to a nearby planned conservancy.

The Development Concept

The Proposed development for the 1,000 acres will be mostly residential for low to middle income earners. The complete development shall have a population of 60,000-100,000.

The objective of this project is to roll out a mixed use development to provide affordable and quality housing for the low to middle income earners. These shall vary from low cost houses to middle income apartments and stand- alone town houses. The concept includes:

i. Home Afrika aims to construct 10,000 housing units within 5 years; this shall be by leveraging existing construction technology to enhance construction speed.
ii. Home Afrika plans to roll out its flagship product, a prototype house which shall sell to the public at approximately one million shillings taking into account the cost of land, design, statutory costs, infrastructure, legal fees and take into consideration a developer's profit.

9.4.3.2. Lakeview Heights – Kisumu County

The Site

Riat Hills is a scenic 87 acre plot in 2 parcels of land situated along the Kisumu-Kakamega Road and just 10 minutes drive from the city centre. Only 3 Km away from the airport, the area has excellent views of Kisumu Airport, Kisumu City and Lake Victoria. The site is located in an area that enjoys excellent connectivity with all modes of transport - Highways, Bypasses, Waterways and the Airport and is only a 2 hour drive to Uganda. Riat Hills lies on a gentle sloping terrain with volcanic soil and loose rocks reminiscent of Kitisuru and New Muthaiga in Nairobi and Champagne Ridge in Olepolos. It is cool compared to the high temperatures around the city centre Kisumu is and will benefit from planned investments and increased activity by NGO's.

The Development Concept

Lakeview Heights is 87 (+/-) acres of prime property, located on Riat Hills, Kisumu County. The development strategy is 50-50; 50% of the land sold as serviced plots and 50% to be developed. Proposed development for the land will be mostly residential for middle to upper income earners.
The projected period for complete development and sale is 36 Months.

9.4.3.3. Llango – Kwale County

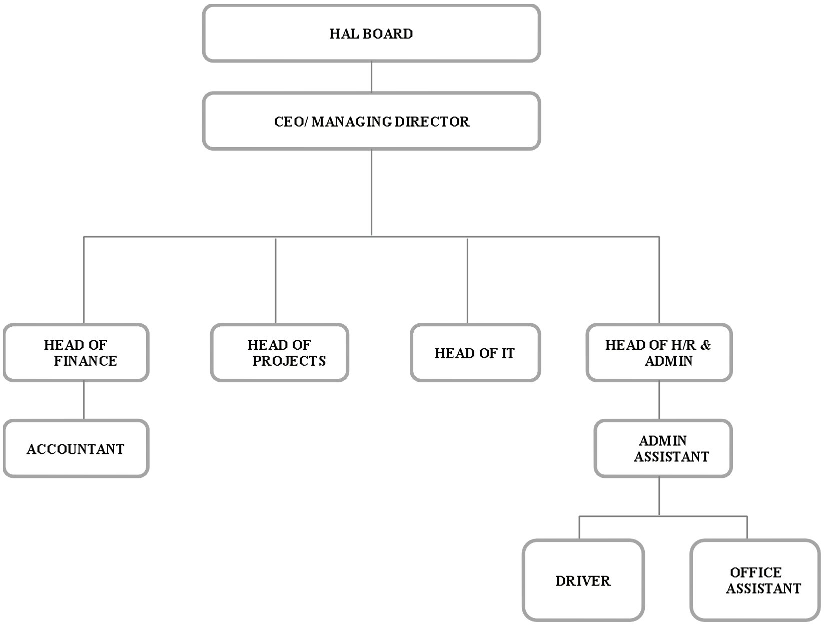
The Site

A 44 acre block (2 parcels) with a 250m frontage to the Indian Ocean, 2km off Mombasa-Lunga Lunga highway it is located 0.5km north of Maweni Beach Cottages and only 4km from Tiwi Beach Resort. This is a prime location with the construction of Dongo Kundu bypass road joining Mombasa-Nairobi and Mombasa Lunga Lunga highways. This area has great opportunity for growth from investor interest owing to its strategic location between Mombasa and Diani. The Project has great potential from neighboring developments ranging from tourist hotels, cottages, and holiday homes.

The Development Concept

The development strategy is 50-50; 50% of the land sold as serviced plots and 50% of it is to be developed. Proposed development for the land will be mostly residential for middle to upper income earners.

9.5. Organization Structure



9.6. Employees

As at 31 December 2012, the Group had a total workforce of 37 employees. The breakdown by subsidiary is shown below:

9.6.1. Home Afrika Limited		
	Permanent	**Temporary**
Personnel	11	0

9.6.2. Home Afrika Communities Limited		
	Permanent	**Temporary**
Personnel	20	0

9.6.3. Mitini Scapes		
	Permanent	**Temporary**
Personnel	4	0

9.6.4. Morningside Management Limited		
	Permanent	**Temporary**
Personnel	2	0

9.7. Senior Management

Home Afrika Limited Management Team	
Gerald Chege Age: 44 **Chief Executive Officer**	Mr. Gerald Chege is the Chief Executive Officer of HAL and is a highly experienced operational executive with over 15 years of hands on experience. He holds an Executive MBA from Columbia Business School in Finance and Marketing and further degrees in Bachelor of Science in Agricultural Economics and Engineering and a Telco Engineer certification. He has worked for MCI-WorldCom- a facility based provider of ICT in New York as Implementation Management Engineering Director covering global and government institutional accounts and focusing on technical support, customer retention, revenue realization and aggregation. Mr. Chege has also worked as the Chief Finance Officer and President for Shasini Enterprise LLC a real estate development concern in areas of investment and asset management, focusing on market strategy for real estate investments, business development and enterprise growth. Mr. Chege has also worked as the Chief Finance Officer and President for Shasini Enterprise LLC a real estate development concern in areas of investment and asset management, focusing on market strategy for real estate investments, business development and enterprise growth. His other areas of focus include organization critical business requirement such as risk management, due diligence and analysis of investment opportunities, real asset management, brand development, corporate strategy, business compliance and corporate governance. He has substantial knowledge in international business best practice and use of technology and market information to innovate. Mr. Chege has recently worked for Star Tech Africa as the Chief Strategist and CEO, mandated to build the business through sourcing of finance and ensuring service delivery for the Kenya office, eventually covering the entire Africa Region.
Simon Kabachia Gichini Age:31 **Finance Manager**	Simon is a graduate of Moi University with a Bachelors degree in Business Management specializing in Finance and Banking. Mr. Gichini is a CPA (K) and registered member with ICPAK. Simon is currently pursuing a Masters in Strategic Management at the University of Nairobi. He has over five years experience having worked for various audit firms including JW Muigai & Associates, Kangethe & Associates and is experienced in Audit, Tax and Financial Reporting. His responsibility at Home Afrika Limited including the subsidiary level is to ensure that the financial activities are utilized in the most efficient manner, ensuring profitability, growth and goodwill of Home Afrika Limited.
Ruth Wanjiru Wanyoike Age:25 **HR/ Administration Manager**	Ruth is the Human Resource & Administration Manager at Home Afrika. She is a graduate of Daystar University with a Bachelor of Arts degree with a Double Major in Psychology and Social Work. Ms. Wanyoike also holds a Higher Diploma in Human Resource Management from the Institute of Human Resource Management. She has over four years of experience having worked in several sectors, acquiring immense knowledge in human relations and management of staff. Ruth's areas of specialization include human resource management with a strong emphasis on recruiting and performance management. Ms. Wanyoike manages all Home Afrika's and Subsidiary Companies' corporate events, public relations and shareholder relations for and behalf of Home Afrika Ltd and the subsidiaries. Her responsibility is to ensure proper allocation of human capital in Home Afrika Ltd and its subsidiaries and develop and implement policy and procedures in the organization. Her responsibility also includes attending to board matters and ensuring smooth implementation of key action items from the CEO's Office.

Stephen Kagume Kibiru Age: 28 **Project Manager**	Steve is the Project Manager at Home Afrika. He is a graduate of Jomo Kenyatta University of Agriculture and Technology with a Bachelors of Science degree in Construction Management, a member of the Chartered Institute of Banking as well as a Member of the Architectural Association of Kenya. Mr. Kagume is creative, practical and well informed having worked in both construction and architectural firms for over 3 years. Mr. Kagume's areas of specialization include construction technology, structural design and project management. His responsibility is to ensure that prospective projects meet the legal, technical and financial due diligence requirements of each project.
Paul Kanyi Age:29 **IT Manager**	Paul is a graduate of Makerere University with a Bachelors of Science degree specializing in Computer Science. Mr. Kanyi is also a Certified Microsoft Professional. Paul is currently pursuing a Masters of Science in Project Management at the Jomo Kenyatta University of Kenya. He has three years experience and has worked at Kenya Airports Authority and Makerere Community Church. His responsibility at Home Afrika Limited as well as at subsidiary level is to ensure streamlined operations of IT Systems and the development and maintenance of IT systems across the board. His responsibility for the alignment of IT systems is critical in achieving business objectives.

9.8. Board of Directors

Summary profiles of the Company's directors:

Home Afrika Limited Board of Directors	
Lee Karuri Age: 49 **Chairman** (Non-Executive, Non-Independent)	Mr. Lee Karuri has been an architect for over 20 years. He obtained his Bachelor of Architecture from the University of Nairobi in 1989, and thereafter registered as an Architect by the Board of Registration of Architects and Quantity Surveyors in 1993. He has previously served as Chairman of the Kenya Private Sector Alliance (KEPSA), honored by the state with the Order of the Grand Worrier (OGW) in 2004 for national services. He has previously served as Chairman of the Kenya Private Sector Alliance (KEPSA), honored by the state with the Order of the Grand Worrier (OGW) in 2004 for national services.
Dr. Mbira Gikonyo Age: 50 **Vice Chairman** (Non-Executive, Non-Independent)	Dr. Mbira Gikonyo is the Vice Chairman of HAL and is also a consultant specialist medical practitioner specializing in Ear Nose and Throat (ENT) medicine. In addition to Head and Neck Surgery. He is also the founder and Director of Danica Hearing Centre, a state of the art hearing centre specializing in neuro-otology. Dr. Mbira served as a research officer in KEMRI in 1993, HASS Group in South Africa as their Chief Medical Director, Magnatone Inc, Phonak AG, Switzerland and Fercom in Denmark.
Eng. Mbugua Kamau Age:51 **Director** (Non-Executive, Independent)	Eng. Mbugua Kamau is the Treasurer at Home Afrika Ltd and he brings to the Board skills in Strategic Management, Project Management and Business development. Mr Mbugua holds a Bachelor of Science Degree in Civil Engineering, and an MBA from Eastern and Southern Africa Management Institute. He has previously served as the Managing Director of Transfleet (EPZ) Ltd, Business Development Manager of Mugoya Group, worked for Sir Alex Gibb and Partners as well as Steel Structures Limited.
Dan Awendo Age:41 **Director** (Non-Executive, Independent)	Mr. Dan Awendo is the Chief Executive Officer of InvesteQ CAPITAL Limited. He brings his extensive experience in Finance to the board and he sits on the Finance & Admin Committee. Mr. Awendo is a Certified Public Accountant Finalist-C.P.A (K). He holds a Diploma from the institute of Data Processing Management (I.D.P.M) and has previously held position of Senior Consultant in Dominion Consultants Group and Group Accountant and General Manager of Loita Holdings Corporation Group.

9. Information on the Company *(Continues)*

Nyagah Kithinji Age: 53 **Director** (Non-Executive, Independent)	Mr. Nyagah Kithinji is a partner in Costwise Associates, a Quantity Surveying and Project Management Consultancy Firm. He serves in the Business Development Committee and he oversees and evaluates prospective projects for HAL. He holds a Bachelor of Arts degree in Building Economics, a Masters in Building Management, an LLB from UNISA and is pursuing Masters of Science in Construction Law and Arbitration at Robert Gordon University in Scotland as well as a Post Graduated Diploma in Law at Kenya School of law. He is a Registered Quantity Surveyor with the Board of Registration of Architects and Quantity Surveyors. He practices Quantity Surveying, Project Management, Contract Administration and Arbitration.
Lucy Maina Age: 48 **Director** (Executive, Independent)	Miss Lucy Maina is an Executive Director of Home Afrika Ltd She is the founder and Executive Director of Angel Capital Limited. In addition, Lucy is the senior property manager of Consolidated Bitumen's Limited, a private Real Estate Company which oversees over 40 rental units Lucy holds a BA in Economics from the College of Wooster, Ohio, USA, and has insightful familiarity with the real estate sector in Kenya. She serves as a member of the Foundation & Investors club for Home Afrika Limited
Mbugua Gecaga Age: 44 **Director** (Non-Executive, Independent)	Mr. Mbugua Gecaga is currently a Director at Mbambu Communications, Clomia Pty Ltd. Zimbawe and Kiota Consultants. He has over 15 years experience in the Brand and Marketing profession. Mr. Gecaga holds a Bachelor (Hons) Marketing and a MBA from Henley Management College. He previously worked with British American Tobacco in Kenya, Uganda, Ethiopia and Zimbabwe. He serves in the Business Development Committee for Home Afrika Limited.
Mr. Gilbert Kibe Age: 48 **Director** (Non-Executive, Independent)	Mr. Gilbert Kibe is the Managing Director at Bahati Ridge Development, an integrated residential, commercial, educational, medical and recreational project in Thika as well as the Chief Executive Officer of Nairobi Flight Training Institution. Mr. Kibe is a trained pilot by profession and holds a Bachelor in Aviation Management and an MBA from Moi University. He has previously served as the Chairman of EAGLE Aviation Limited, Director of Kenya Civil Aviation Authority and CEO of National Flight Ltd.
Mr. Ken Wathome Age: 51 **Director** (Non-Executive, Independent)	Mr. Ken Wathome is a registered and practicing valuer by training, a visionary resourceful business and professional executive with strong interpersonal skills. He has served in several boards and managerial positions in international companies, in a leadership position for key corporate initiatives. He holds a Bachelor of Arts in Land Economics (Hons) from University of Nairobi and is a registered and practicing valuer. He has a certificate of corporate governance from common wealth Association for Corporate Governance. He serves as the Vice Chair of Kikwetu project in Athi River in the HAL Board.
Mrs. Jane Adam Age: 53 **Director** (Non-Executive, Independent)	Mrs. Jane Adam is the Managing Director and Founder of Travel Collections. Travel Collections is a travel agency focused on medical tourism. Jane Adam is also the Executive Director and founding partner at Nature Expeditions, a leading indigenous and Tour operator company in Kenya. Mrs. Adams holds a Bachelor of Science in Hospitality and Tourism Management and a Diploma in Hotel Management from Kenya Utalii College. Jane has worked in the tours and hospitality industry for over 15 years having worked at various travel agencies. She is a founder member of Kenya Association of Women in Tourism and serves as the Chair of the Home Afrika Foundation which oversees the community social responsibility projects including the Home Afrika Investors Club.

No director has a direct interest in the shareholding of the Company in excess of 5% of the Company's total shareholding. There has been no change in the directors' shareholding between the end of the previous financial year and the date of publication of this Listing Statement.

There has been no change in the controlling shareholders and trading objectives of the company during the previous three financial years. Furthermore, there are no experts employed on a contingent basis.

9.9. Competence and Suitability of Directors and Management

As at the date of the application and for a period of at least two years prior to the date of the application, no director or senior manager of HAL has:

- Had any petition under bankruptcy laws pending or threatened against the directors (for individuals), or senior managers, or any winding-up petition pending or threatened against it (for corporate bodies).
- Had any criminal proceedings in which the director or senior manager was convicted of fraud or any criminal offence or action either within or outside Kenya.
- Been the subject of any ruling of a court of competent jurisdiction or any governmental body that permanently or temporarily prohibits such director or senior manager from acting as an investment adviser or as a director or employee of a stockbroker, dealer or any financial institution or engaging in any type or business practice or activity.

9.10. Shareholding and Corporate Governance

9.10.1. Shareholders

The following were the subscribers of the Memorandum and Articles of Association of the Company at incorporation:

- Lee Gituto Karuri
- Geoffrey Mbugua Kamau
- Susan Kasinga
- Lucy Wanjiku Maina
- Dr. Benjamin Mbira Gikonyo

There has been no change in the controlling shareholders and trading objectives of the company during the previous three financial years. Furthermore, there are no experts employed on a contingent basis, who own any amount of shares in the company or its subsidiaries which is material, or who have a material, direct or indirect economic interest in Home Afrika.

The following are the current shareholders holding in excess of 1.00% of the Company's total shareholding:

	Shareholders	Number of Shares	% shareholdings
1.	Home Afrika Continental Ltd.**	24,000,000	5.92%
2.	Home Afrika Investments Ltd.**	20,384,000	5.03%
3.	Seyani Brothers & Co. Ltd	10,000,000	2.47%
4.	Stimela Co-operative Saving & Credit Society	10,000,000	2.47%
5.	YCEO Holdings Limited	10,000,000	2.47%
6.	Lee & Consolata Gituto Karuri	10,000,000	2.47%
7.	Nyagah Boore & Lillian Wanjiku Kithinji	10,000,000	2.47%
8.	Global Equity Ventures Ltd	10,000,000	2.47%
9.	Lilian Nduta Githungo	10,000,000	2.47%
10.	Patrick Ng'ang'a	10,000,000	2.47%
11.	Hansan Investment Ltd	10,000,000	2.47%
12.	Wakini Ltd	6,000,000	1.48%

13.	Red Anchor Ltd	6,000,000	1.48%
14.	Paul Munyua Ng'ang'a	6,000,000	1.48%
15.	Dale Farm & Investments	6,000,000	1.48%
16.	Dominic Mbugua Kimani	6,000,000	1.48%
17.	Mbugua & Nancy Wanjiku Kamau	6,000,000	1.48%
18.	Patrick Devine	6,000,000	1.48%
19.	Bucknall Bruton Ltd	6,000,000	1.48%
	TOTAL	182,384,000	45.00%

Source: Home Afrika Limited

***Home Afrika Continental Limited and Home Afrika Investments Limited each hold shares in the Group in trust for nine (9) and ten (10) individuals respectively.*

Category	Number of Shares	Number of Shareholders	%
Less than 100,000	0	0	0.0%
100,000 – 1,000,000	986,660	2	0.2%
More than 1,000,000	404,268,660	111	99.8%
Total	405,255,320	113	100.0%

9.10.2. Corporate Governance Practices

Governance is the means by which the affairs of an institution are directed and managed thereby promoting corporate accountability and business aptness to achieve an optimal shareholder value, whilst simultaneously taking into consideration the interests of other stakeholders. It is premised on the principles of integrity, accountability, prudence and openness.

The Board of directors of Home Afrika Limited is at the core of Home Afrika's system of corporate governance and is ultimately accountable and responsible for the performance and affairs of the Company. Good corporate governance is regarded as critical to the success of the business of the Company and the board is unreservedly committed to applying the fundamental principles of good governance – transparency, integrity, accountability and responsibility - in all dealings by, in respect of and on behalf of the company.

The Company currently has four Board Committees, the Business Development Committee, Finance, Administration and Human Resource Committee, Project Co-ordination Committee and the Audit, Risk, Legal, Compliance and Nominations Committee.

The board accordingly embraces the principles of good governance as set out in a number of governance frameworks including the Principles for Corporate Governance in Kenya.
The board develops and maintains reporting and meeting procedures for itself and its committees. Regular board meetings are held once a month eleven times in a year beginning in January and special meetings as necessary. Board meetings take place at the company's offices unless otherwise decided by the board.

The Board may form committees of its members and may delegate any of its powers to any such committee. The frequency of the committee meetings are determined by the individual committee, as stated in the terms of reference for each committee.

The quorum necessary for the transaction of the business of the board is five directors present either personally or by alternate.

9.10.3. Composition of the Board of Directors

The Board includes a fair balance between executive and non-executive directors so that no individual or company of individuals' interests will dominate the board's decision making process. The following issues are considered in determining the board's composition:

- Attaining a desirable ratio of and balance between the number of executive and non-executive directors.
- Ensuring that the board collectively contains the skills, experience and mix of personalities appropriate to the strategic direction of the Company and necessary to secure its sound performance.
- Experience, knowledge, skills and personal attributes of current and prospective directors in relation to the needs of the Board as a whole.Succession planning.

The Finance, Administration & Human Resource Committee, in line with its terms of reference, from time to time reviews the general composition of the board and makes appropriate recommendations on the appointment of new executive or non-executive directors.

Irrespective of a director's special expertise or knowledge and regardless of whether a director is an executive or non-executive director, all members of the Board recognize that they are collectively responsible to shareholders for the performance of the Company.
The termination of an employment contract of an executive director will result ipso facto in the termination of their membership of the Board, unless the Board determines otherwise.

9.10.4. Remuneration of the Directors

The Finance, Administration & Human Resource Committee is responsible for reviewing non-executive directors' remuneration and recommending the necessary changes from time to time. In making these recommendations, due consideration must be given to the board's expectations from directors in terms of time commitments, degree of responsibility and financial condition of the Company.

The committee may request management or external consultants to provide necessary information upon which the board may make its determination.

Directors' remuneration is presented for approval at the Annual General Meeting.

In determining the compensation for non-executive directors, the Finance, Administration & Human Resource Committee shall consider the following:

- The level of fees currently earned by directors in their professional capacity.
- The number of hours spent by directors in preparing for and attending meetings, as well as travel to meeting venues.
- Current market rates applicable to organizations of similar size and in the same industry.
- The complexity of the company's operations and the extent to which directors have to incur additional cost in research on industry developments and other company related matters.
- The number of meetings in a year.

The remuneration recommended by the Finance, Administration & Human Resource Committee shall apply to all directors and no director should be involved in fixing their own individual remuneration.

9.10.5. Responsibilities of the Board

The Board should specifically exercise leadership, enterprise, integrity and judgment in directing the affairs of the Company in order to achieve continuing prosperity for the Company and its shareholders, and shall at all times act in the best interests of the Company in a manner based on transparency, integrity, accountability and responsibility.

The Board must specifically:

- Define and chart out the Company's vision, mission and values and has ultimate responsibility for the attainment of the Company's values.
- Determine the business strategies and plans that underpin the corporate strategy.
- Discuss and approve strategic plans and annual budgets.
- Retain full and effective control over the Company, and monitor management's implementation of the strategic plans and financial objectives as defined by the board.
- Define levels of materiality, reserving specific powers to itself and delegating other matters with the necessary written authority to management.
- Continually monitor the exercise of delegated power by management.
- Ensure that a comprehensive system of policies and procedures is in place, and that appropriate governance structures exist to ensure the smooth, efficient and prudent stewardship of the Company.
- Ensure that the business of the Company is managed with a view to ensuring that the Company is ethical in all its dealings and exercises corporate social responsibility.

- Ensure compliance by the Company with all relevant laws and regulations, audit and accounting principles, and such other principles as may be established by the board from time to time.
- Identify key risks, opportunities and strengths relating to the Company.
- Ensure that the Company's organizational structure and capability are appropriate for implementing the chosen strategies.
- Determine monitoring criteria to be used by the board.
- Set policies on internal control and obtain regular assurance that the system is functioning effectively and is effective in managing risks.
- Nominate board members who will add value to the board processes and arrange for their induction.
- Appoint the managing director, senior staff, external auditors and other consultants.
- Discuss, agree and approve annual accounts and reports.
- Communicate key policies and strategy issues to senior management.
- Identify all stakeholders and ensure effective communication with shareholders and stakeholders.

9.10.6. Board Committees

The Board has established the following four committees, whose mandates and terms of reference are spelt out as follows:

9.10.6.1. Business Development Committee

The Business Development Committee is a standing committee of the board and its purpose is to assist the board of Home Afrika Ltd. to come up with viable projects that fulfill financial, legal and technical due diligence. The Committee also spearheads the implementation of the "Go County" and "Go Afrika" strategies for and on behalf of Home Afrika Ltd. A key function for the Business Development Committee is to develop innovative marketing and branding approaches for all products of Home Afrika Ltd.

The composition of the committee is as follows:

1. Gilbert Kibe - Chair
2. Nyagah Kithinji – Vice Chair
3. Mbugua Gecaga – Member
4. Dan Chege – Member
5. Capt. Joe Gathecha – Member

9.10.6.2. Finance, Administration and Human Resource Committee

The Finance & Administration Committee is a standing Committee of the Board and its purpose is to assist the Board of Home Afrika Ltd in financial risk management, policy formulation and reviewing and approving major financial transactions. The Committee has been proactive in sourcing funds for the various projects under Home Afrika Limited. The Finance Committee has restructured the Capital Structure of Home Afrika Limited and ensures that the shareholders get a return on their investment.

The composition of the committee is as follows:

1. Eng. Mbugua Kamau - Chair
2. Dan Awendo – Vice Chair
3. Susan Kasinga – Member
4. Boniface Kamau – Member
5. Dr. Mbira Gikonyo – Member
6. Nyagah Kithinji – Co-opted Member

9.10.6.3. Audit, Risk, Legal, Compliance and Nominations Committee

The Audit, Risk, Legal, Compliance and Nominations Committee is a standing Committee of the Board and its purpose is to assist the Board of Home Afrika Ltd. to assess the integrity of financial statements, the effectiveness of financial reporting, conduct risk management assessment, provide legal advice to the board, propose new nominees for the board as and when required and to assess the performance and effectiveness of directors in the Company.

The composition of the committee is as follows:

1. Peter Kanaiya - Chair
2. Gerald Muli – Vice chair
3. Dr. Njoroge Keige – Member
4. Rose Nkonge – Member
5. Muciimi Mbaka – Member
6. Ken Kanyarati – Member
7. Nazima Malik– Member

9.10.7. Other Important Information

9.10.7.1. Director emoluments and benefits

The aggregate directors' emoluments and benefits for the years ended 31 December 2012, 2011 and 2010 are as follows:

	2012 KES '000	2011 KES '000	2010 KES '000
Directors' fees	10,260	10,260	10,260
Total	10,260	10,260	10,260

Source: Home Afrika Limited

There are no arrangements whereby any of the Directors have or have agreed to waive future emoluments and there has been no arrangement for the waiver of emoluments during the past financial year.

There will be no variation to directors' emoluments and benefits as a consequence of the Listing.

9.10.7.2. Director Service contract arrangements

There are presently no existing or proposed directors' service contracts.

10. Operational and Financial Review

The Operating and Financial Review below is to be read together with this Listing Statement as a whole, including, in particular, the risk factors discussed in the section "Risk Factors" set out in section 11 and the audited financial statements of HAL for the fiscal years ended 31 December, 2009, 2010, 2011 and 2012.

The Group has experienced remarkable growth in revenue in the periods 2009 to 2012. Revenue and profit before tax grew at a CAGR of 558.1% and 370.0% respectively, over the last four years. Revenues grew 61.2% from KES 520.5mn in 2011 to KES 839.1mn in 2012. Profit after tax on the other hand grew 183.6% from a loss of KES 200.5mn in 2011 to profits of KES 167.7mn in 2012. This outstanding performance was mainly attributable to high demand for land and houses which led to huge plot sales at high premiums and management fees over the last four years. Furthermore, excellent finance planning and continuous upgrading of projects with high emphasis on quality assurance contributed to the impressive performance. Home Afrika is looking to attain cumulative turnover of USD 1.0bn by 2017.

10.1. Consolidated Statements of Comprehensive Income

Consolidated Statement of Comprehensive Income

31 December Year End (KES "000")	2012	2011	2010	2009
Turnover	839,116	520,477	56,547	2,944
Cost of Sales	(331,897)	(491,794)	(23,309)	-
	507,219	**28,683**	**33,238**	**2,944**
Expenses				
Other operating income	5,083	1,709	17,042	8,496
Selling and distribution	(42,427)	(103,255)	(5,189)	(8)
Administrative Costs	(110,572)	(113,248)	(16,357)	(22,011)
Other Operating Expenses	(21,578)	(20,714)	(4,512)	(2,523)
Operating Profit	**337,725**	**(206,824)**	**24,223**	**(13,101)**
Finance Costs	(79,876)	(78,275)	-	-
Profit Before Tax	**257,850**	**(285,098)**	**24,223**	**(13,101)**
Tax Charge	(90,170)	84,643	(9,161)	(1,047)
Net Profit for the period	**167,680**	**(200,455)**	**15,062**	**(14,149)**

10.2. Consolidated Statements of Financial Position

Consolidated Statement of Financial Position

31 December Year End (KES "000")	2012	2011	2010	2009
Assets				
Non-Current Assets				
Property, Plant and Equipment	895,745	770,256	57,414	1,256
Intangible assets	237	473	-	-
Goodwill on consolidation	74,284	74,284	74,284	-
Deposit for shares	-	-	-	75,000
Financial assets	2	-	-	49,334
Deferred tax	12,458	86,186	1,305	-
	982,726	931,199	133,003	125,590
Current Assets				
Inventories	1,271,606	1,332,691	632,289	-
Trade and other receivables	114,326	50,798	69,042	463
Cash and cash equivalents	153,079	63,590	154,210	38,351
Tax Recoverable	-	9,865	-	-
	1,539,012	1,456,944	855,541	38,814
Total Assets	2,521,736	2,388,143	988,544	164,404
Equities and Liabilities				
Equity				
Share Capital	405,255	204	100	100
Share Premium	68,842	456,718	354,471	176,692
Accumulated deficit	(84,332)	(140,078)	(3,901)	(14,149)
Shareholders' Funds	389,765	316,844	350,670	162,643
Non controlling interests	(20,426)	(93,514)	4,864	-
	369,339	223,331	355,534	162,643
Liabilities				
Non-Current Liabilities				
Preference share capital	150,000	150,000	150,000	-
Deposit for shares	50,749	-	-	-
Borrowings	39,865	36,964	159,162	-
	240,613	186,964	309,162	-
Current Liabilities				
Tax Payable	5,382	3	10,160	555
Deposits Payable	441	441	441	400
Borrowings	157,247	521,384	159,162	-
Trade and other Payables	1,748,716	1,456,021	154,085	807
	1,911,783	1,977,848	323,848	1,761
Total Equity and Liabilities	2,521,736	2,388,143	988,544	164,404

10.3. Consolidated Statements of Cash Flows

Consolidated Statement of Cash Flow

31 December Year End (KES "000")	2012	2011	2010	2009
Cash Flow from Operating Activities				
Cash (used)/ generated from operations	632,985	400,830	(538,216)	645
Interest Paid	(78,471)	(62,743)	-	-
Tax Paid	(1,198)	(20,260)	(860)	(493)
Net Cash (used) generated from operations	553,316	317,827	(539,077)	152
Cash Flow used in Investing Activities				
Purchase of Property, Plant and Equipment	(133,865)	(717,616)	(58,140)	(1,660)
Purchase of intangible assets	-	(709)	-	-
Disposal of Property and Equipment	981	550	-	-
Interest Received	1,218	1,053	16,873	3,286
Financial assets	(2)	-	49,334	(49,334)
Deposit for shares	-	-	716	(75,000)
Net Cash used in Investing Activities	(131,668)	(716,722)	(8,782)	(122,708)
Cash Flow generated from Financing Activities				
Net movement in bank loan	(372,770)	240,024	318,324	-
Net movement in finance lease	10,134	-	-	-
Proceeds from shareholders loan	1,400	-	-	-
Preference share capital	-	-	150,000	-
Dividends Paid	(38,847)	(34,140)	-	-
Proceeds from issue of share capital	0	40	50	100
Proceeds from share premium	17,175	102,352	177,779	160,807
Proceeds from deposits for shares	50,749	-	-	-
Net Cash (used in)/ from financing activities	(332,159)	(308,275)	646,153	160,907
Increase/ (decrease) in Cash and Cash Equivalents	**89,489**	**(90,620)**	**115,859**	**38,351**
Movement in Cash and Cash Equivalents				
At Start of Period	63,590	154,210	38,351	-
Increase/ (decrease) in Cash and Cash Equivalents	89,489	(90,620)	115,859	38,351
At End of Period	**153,079**	**63,590**	**154,210**	**38,351**

11. Risk Factors

HAL operates in a complex environment with ever increasing competition, greater accountability and higher quality standards of service delivery, which are placing more pressure on resources. The group's activities expose it to a variety of financial risks, including credit and liquidity risk, as well as the effects of changes in foreign currency exchange rates and interest rates. All of these factors are contingencies which may or may not occur and the group is not in a position to express a view on the likelihood of any such contingency occurring.
The implementation of a robust and transparent risk management program becomes increasingly important in order for the Group to adapt and meet these challenges in a structured way to continually align its priorities and objectives against a background of changing risk and uncertainty. The risk management framework seeks to align business opportunities and the taking of risks to the ever present challenges of the Group in achieving its mission and core objectives. It encompasses the whole spectrum of risk ranging from the high level enterprise-wide strategic business risks to individual departmental/section operational risks.

The benefits of implementing a risk management framework include the following:

- Demonstrating due diligence in planning and day to day management activities
- Promoting proactive rather than reactive management with the early identification and treatment of risks
- Improving the focus on the Group's key strategic goals leading to:
  - A more sound basis for strategic planning as key elements of risk have been identified.
  - More effective allocation of resources to key services and areas of high risk improving service delivery.
  - An improved level of accountability and responsibility.
  - Better informed decisions about opportunities and new initiatives/projects.
  - Avoidance of taking unnecessary opportunistic risks.
  - An acceptance of the changing patterns of risk and opportunity in an increasingly competitive environment.

Factors which the group believes may be material for the purpose of assessing the market risks associated with an investment in HAL are described below. The group believes that the factors described represent the principal risks inherent in investing in HAL. Prospective investors should also internalize the detailed information set out elsewhere in this Listing Statement (including any documents available for inspection) and make individual assessments prior to making any investment decision.

11.1. Core Risks of the Group

11.1.1. Political Risk

The group will be operating in Africa and thus will derive all its revenue from the region. All e group assets and employees will be located in the region. The region is politically young, and has been subject to various forms of political unrest since independence. Kenya, in particular, underwent recent turbulence since the 2007 general elections, although the political situation has been relatively calm since peaceful conclusion of general elections in March 2013 which resulted in the formation of a new government. The challenges for the new government include delivering of the new constitution as well as focusing on the Vision 2030 blueprint as a strategy to transform the country into a middle income economy. National security also remains a fundamental issue that the new government must resolve following unexplained killings and attacks in several parts of the country.

11.2. Risk Factors Relating to the Business

11.2.1. Strategic Risk

Strategic risks are risks arising from formulation and implementation of strategic and business plans that are inappropriate and inconsistent with internal factors and the external environment which may in turn affect earnings, capital fund or viability of the business. To mitigate strategic risks, the board of directors and senior management carefully formulate strategic and business plans, supportive of corporate governance, in addition to putting in place internal infrastructure appropriate for implementation of the strategic plans.

11.3. Market Risk

11.3.1. Competition Risk

Intense competition in the real estate sector could impact adversely on growth and profitability of the Group. In the final analysis, the Group may be unable to meet the shareholders expectations. The Group intends to minimize material adverse effects from severe competition by:

- Providing quality services to its customers premised on customer equity (value, price and brand equity).
- Developing projects that are market oriented.
- Maintaining a well motivated work force and agents.
- Recruiting good staff and continuous training and development of its workforce.

11.3.2. Liquidity Risk

Liquidity risk is the likelihood that an organization will be unable to meet its payment obligations when they fall due.

The Group does not have access to a diverse funding base and funds are raised mainly from its shareholders, banks and its own internal resources. The group's approach to managing liquidity therefore, is to ensure as far as possible that it will always have sufficient liquidity to meet its liabilities when they fall due under both normal and stressed conditions without the need to incur unacceptable losses, or at the risk of damaging its reputation. The group implements the following core liquidity management strategies:

- The board has adopted a risk management framework for the management of the group's short, medium and long-term liquidity requirements, thereby ensuring that all financial liabilities are settled as they fall due.
- Continuously reviewing forecasts and actual cash flows.
- Maintaining banking facilities to cover any shortfalls.
- Endeavouring to maintain a stable funding base by ensuring that shareholders' funds are adequate and that some percentage of earnings is ploughed back into the business.
- Developing policies that will ensure that the group's assets and liabilities are properly matched.
- Continually assessing liquidity risk by identifying and monitoring changes in funding required to meet business goals and targets set in terms of the overall group strategy.

11.3.3. Credit Risk

Credit risk arises from the probability that debtors will default on their contractual obligations resulting in financial loss to the Group. Credit risk mainly arises from financial assets and is managed on a group-wide basis. The group does not grade the credit quality of financial assets that are neither past due nor impaired.

Credit risk on financial assets with banking institutions is managed by dealing with institutions with good credit ratings and placing limits on deposits that can be held with each institution.

Credit risk on trade receivables is managed by ensuring that credit is extended to customers with an established credit history. The credit history is determined by taking into account the financial position, past experience and other relevant factors. Credit is managed by setting the credit limit and the credit period for each customer. The utilization of the credit limits and the credit period is monitored by management on a monthly basis.

11.3.4. Operational risk

Operational risk is associated with human error, an inadequate information system, technology failures, breach in internal controls, fraud, inadequate training, unforeseen catastrophes and other operational problems that may be encountered within the operating system. Operational risk will exist as long as the group is in operation, but management has ensured that an effective, integrated operational risk management framework is in place. This includes the following:

- Each department has defined roles and responsibilities with regard to operational risk management.
- Key risks are identified, assessed, controlled and reported on a continuous basis using appropriate tools and methodologies.
- Operational systems and procedures are subjected to independent reviews.
- Appropriate insurance to cover risks such as fire, theft and burglary is undertaken with reputable insurance companies.
- A comprehensive system of internal controls is maintained and systems and procedures to monitor transactions are established.

11.3.5. Legal risk

Insurance, particularly third party liability insurance, often involves legal contests on the amount of claims payable. At any particular time, there are likely to be various pending litigation issues and the management of these depends on a number of considerations.

The group has set up management structures and policies which permit analysis and assessment of all legal risks and provides for possible losses in order to minimize any adverse effects on financial performance.

11.3.6. Information risk

Information risk raises the possibility of harm being caused to a business as a result of a loss of confidentiality, integrity or availability of information. The value add of information technology to the group's business processes does at the same time increase the level of information risk through interception, system failure and inadvertent relay of data to unauthorized persons.

The board of directors regularly evaluates the effectiveness of its information security processes.

11.3.7. Reputation risk

Reputational risk is the potential that negative publicity regarding an institution's business practices, whether true or false, will cause a decline in the customer base, costly litigations or revenue reductions. This risk may result from an institutions' failure to effectively manage any or all of the other risk types. The ultimate accountability for reputational risk management rests with the board. The board of directors addresses explicitly reputational risk as a distinct and controllable risk to HAL's safety and soundness through a versatile risk management framework for reputational risk.

11.4. Responsibility for risk management

The ultimate responsibility for risk management in an organization rests in the hands of the board of directors. According to the Institute of Risk Management, the Board of Directors should:

- Be aware of the most significant risks facing the organization.
- Know the possible effects on shareholder value of deviations to expected performance ranges.
- Ensure appropriate levels of risk awareness throughout the organization.
- Be aware of how the organization will manage a crisis.
- Know the importance of shareholder confidence in an organization.
- Know how to manage communication with the investor community where applicable.
- Be assured that the risk management processes are working effectively.
- Publish a clear risk management policy covering the underlying risk management philosophy and the objectives of the policy.

11.5. Risk Factors Relating to this Listing

HAL is not in a position to predict whether investor interest in HAL after Listing will lead to the development of an active trading market on the NSE or otherwise or how liquid and vibrant the GEMS market might be. The Listing price for the Group's shares has been determined by HAL in consultation with the Transaction Advisors and may not be indicative of prices that will prevail in the open market following this Listing.

12. Statutory and General Information

12.1. General And Legal Information

Home Afrika Limited (hereinafter referred to as "Home Afrika" or "the Group") was incorporated on July 17, 2008 with Certificate Number C.157971. The Group was initially established as a private company but was later converted into a public company with certificate number C. 8/2011.

12.1.1. Principal Objects

The main object for which the Group was incorporated is that of property development and management. The Group also has the power to establish and invest in subsidiaries for purposes of furthering its business objective, in line with the Group's present business.

Home Afrika is a real estate company whose goal is the provision of quality housing not only for Kenya, but for the African Continent in general. To this end, the Group aims at providing affordable low cost housing in Africa as a profitable and sustainable business.

To achieve this objective, the Group is currently involved in several high, middle and low income real estate developments, the intention being that the Group runs a profitable business which will have the technical and financial capacity in the near future to undertake low income housing projects. The Group is therefore currently involved in medium-scale, highly lucrative developments, with the plan being to focus on the growth of the Group.

12.1.2. Articles Of Association

The key provisions of the Articles of Association are as follows:

a) The Company is a Public Company. There is therefore no restriction on the number of shareholders, transferability of shares or public offers.

b) Any branch or kind of business which the Company is authorized to undertake may be undertaken by the directors at such time or times as they deem fit.

c) The Company may exercise the powers of paying commissions conferred by section 55 of the Companies Act (Chapter 486, Laws of Kenya) provided that the commission paid or agreed to be paid shall not exceed 10% of the price at which the shares in respect of which the commission is paid, are issued.

d) Preference shares may be issued with the sanction of a special resolution upon the terms that they are or, are at the option of the Company are liable to be redeemed on such terms and in such manner as the Company may by special resolution determine.

e) The rights conferred upon the holders of the shares of any class issued with preferred or other rights shall not, unless otherwise expressly provided by the terms of the issue of the shares of that class, be deemed to be varied by the creation or issue of further shares ranking pari passu therewith.

f) Where the directors propose to issue any shares, they shall first offer them to the members (other than preference shareholders not specifically entitled to them under the terms of issue of their preference shares) in proportion as nearly as may be to the number of shares held by them.

g) Notwithstanding the pre-emptive rights above, the directors may allot and issue to the Trustees of any Employee Share Option Plan (ESOP).

h) The Company shall have a first and paramount lien on every share (not being a fully paid share) for all moneys in respect of that share and the Company shall also have a first and paramount lien on all shares (including paid up shares) standing registered in the name of any person for all moneys presently payable by him or his estate to the Company.

i) Pursuant to and subject to the Central Depositories Act, 2000, title to immobilized and dematerialized shares will be evidenced otherwise than by a certificate and title to such shares shall be transferred by means of book-entry transfer in accordance with the provisions of the Central Depositories Act, 2000.

j) Quorum for general meetings is fifty members present by person or by proxy or represented in accordance with article 89, together holding in aggregate not less than 20% of the issued share capital of the Company.

k) At any general meeting, a resolution put to the vote shall be decided on a show of hands unless a poll is demanded by either the chairman, ten members present in person or by proxy or by any member present in person or by proxy and representing not less than one-tenth of the total voting rights of all the members having the right to vote at the meeting.

l) The Company may sell any shares or stock of a member or any share or stock to which a person is entitled by transmission if:

i. For a period of six years no cheques or warrant sent by the Company has been cashed.
ii. No communication has been received from the member or any other person entitled and during such period at least three (3) dividends in respect of the shares or stock have been declared payable by the Company.
iii. The Company has at the expiration of the said six year period by advertisement in a newspaper of national circulation given notice of its intention to sell such shares or stocks and has not during the six years preceding and six months after the advertisement received any information reasonably satisfactory to the Directors as to either the actual whereabouts or the actual existence of the member or entitled person.
iv. The Company (if being then listed on a Securities Exchange) has given notice to the Security Exchange on which it is listed of its intention to make the sale.

m) The number of directors shall not be less than seven (7) or more than ten (10) in number unless and until otherwise determined by a special resolution.

n) At the first Annual General Meeting after the initial public offering all the Directors other than the managing director and any other director being at the time at the employ of the Company or any of its subsidiaries shall retire from office. At the annual general meeting in every subsequent year one third of the Directors other than the managing director and any other director being at the time at the employ of the Company or any of its subsidiaries, for the time being, if their number is not three or a multiple of three, then the number nearest to, but not less than one third shall retire from office.

o) A director who retires from office is eligible for re-election.

p) The following matters are reserved for the general meeting:
i. A material modification to the investment policy of the Company.
ii. Decisions concerning the dividend policy of the Company.
iii. Any material change in the nature of the Company's business.
iv. The granting of any loans by the Company to a Director or any person.

q) Quorum necessary for directors' meetings shall be a majority in number of the Directors for the time present either personally or by alternate.

r) The directors may with the approval of the general meeting by special resolution establish one or more Employee Share Option schemes (ESOP) and/or Employee Share Purchase Schemes (ESPS).

s) The Directors may exercise all the powers of the Company to borrow or raise money and to mortgage or charge its undertaking, property and uncalled capital and to issue debentures, debenture stock, legal and equitable mortgages and charges and other securities whether outright or as security (principal or collateral) for any debt, liability or obligation of the Company or of any third party.

t) The Directors, other than those whose remuneration is determined by agreement between them and the Company, shall be entitled to such remuneration for their services as the Company may, from time to time, in general meeting determine.

u) A Director may not, without the consent of the general meeting, contract with and be interested in any way, whether directly or indirectly, in any actual or proposed contract or arrangement with the Company, either as vendor, purchaser or otherwise.

v) The office of Director shall be vacated if the Director:

i. Ceases to be or is prohibited from being a Director by virtue of any provision of The Companies Act.
ii. Becomes bankrupt or makes any arrangement with his creditors generally.
iii. Becomes incapable by reason of mental disorder of exercising his functions as Director.
iv. Resigns his office by notice in writing to the Company.
v. Is absent either in person or by his alternate, without the previous sanction of the Directors, for a period of more than six months from meetings of the directors held during such period and the Directors resolve that his office be vacated accordingly.

12.1.3. Corporate Information

Incorporation	July 17, 2008
Registered Office	Morningside office Park, Ngong Road Nairobi P.O. Box 75362-00200 Nairobi

12. Statutory and General Information *(Continues)*

As at June 10, 2013, the authorized share capital of the Company was Kenya Shillings Five Hundred Million (KShs. 500,000,000/=) divided into Five Hundred Million (500,000,000) ordinary shares of Kenya Shillings One (Kshs. 1/=) each.

The issued share capital of the Company was Four Hundred and Five Million, Two Hundred and Fifty Five Thousand Three Hundred and Twenty (Kshs. 405,255,320/=) divided into Four Hundred and Five Million, Two Hundred and Fifty Five Thousand Three Hundred and Twenty shares of Kenya Shillings One (Kshs. 1/=) each held by a total of 113 shareholders.

Shareholders

The following are the current shareholders holding in excess of 1.00% of the Company's total shareholding:

	Shareholders	Number of Shares	% shareholdings
1.	Home Afrika Continental Ltd.**	24,000,000	5.92%
2.	Home Afrika Investments Ltd.**	20,384,000	5.03%
3.	Seyani Brothers & Co. Ltd	10,000,000	2.47%
4.	Stimela Co-operative Saving & Credit Society	10,000,000	2.47%
5.	YCEO Holdings Limited	10,000,000	2.47%
6.	Lee & Consolata Gituto Karuri	10,000,000	2.47%
7.	Nyagah Boore & Lillian Wanjiku Kithinji	10,000,000	2.47%
8.	Global Equity Ventures Ltd	10,000,000	2.47%
9.	Lilian Nduta Githungo	10,000,000	2.47%
10.	Patrick Ng'ang'a	10,000,000	2.47%
11.	Hansan Investment Ltd	10,000,000	2.47%
12.	Wakini Ltd	6,000,000	1.48%
13.	Red Anchor Ltd	6,000,000	1.48%
14.	Paul Munyua Ng'ang'a	6,000,000	1.48%
15.	Dale Farm & Investments	6,000,000	1.48%
16.	Dominic Mbugua Kimani	6,000,000	1.48%
17.	Mbugua & Nancy Wanjiku Kamau	6,000,000	1.48%
18.	Patrick Devine	6,000,000	1.48%
19.	Bucknall Bruton Ltd	6,000,000	1.48%
	TOTAL	182,384,000	45.00%

Source: Home Afrika Limited

***Home Afrika Continental Limited and Home Afrika Investments Limited each hold shares in the Group in trust for nine (9) and ten (10) individuals respectively.*

Directors

The Directors of the Company are:

a) Lee Gituto Karuri
b) Geoffrey Mbugua Kamau
c) Lucy Wanjiku Maina
d) Benjamin Mbira Gikonyo
e) Nyagah Kithinji
f) Dan Awendo
g) Gilbert Kibe
h) Mbugua Gecaga
i) Jane Wambui Adam
j) Kenneth Wathome Mwatu

Company Secretary

Ms. Esther Ndegi Njiru
Certified Company Secretary
Number 1444
P.O. Box 2050-00200
Nairobi

Lawyers

Muriu Mungai & Company Advocates
MMC Arches
Spring Valley
P.O Box 75362-00200
Nairobi, Kenya

Auditors:

PKF Accountants & Business Advisers
Kalamu House, Grevillea Grove
Westlands, Nairobi

12.2. Other Important Information

12.2.1. Capital Changes in the last five (5) years

Home Afrika has undertaken the following material changes in the last five years:

a) In July 2011, the Company was converted from a private to a public company.
b) In May 2011, there was an increase in Nominal Capital from Kenya Shillings One Hundred Thousand (KShs. 100,000/=) to Kenya Shillings One Hundred and Sixty Four Thousand (Kshs. 164,000/=).
c) In December 2011, there was another increase in Nominal Capital from Kenya Shillings One Hundred and Sixty Four Thousand (Kshs. 164,000/=) to Kenya Shillings Three Hundred Thousand (KShs. 300,000/=).

d) In October 2012, there was a further increase in Nominal Capital from Kenya Shillings Three Hundred Thousand (KShs. 300,000/=) to the current share capital of Kenya Shillings Five Hundred Million (KShs. 500,000,000/=).

e) In October 2012, there was also a Share Split where each share worth Kenya Shillings One Hundred (KShs. 100/=) was split into ten shares of Kenya Shillings Ten (Kshs. 10/=) each.

f) As part of the reorganization in 2012, 91 share transfers forms for a total of 1,280 shares in the Company were executed and stamped. The Company is in the process of finalizing execution and stamping of 29 share transfers for an aggregate of 72,386,750 shares in the Company from Home Afrika International and Home Afrika Continental to the beneficial shareholders. The total number of beneficial shareholders is 130.

g) On December 31, 2012, the directors resolved to capitalize shareholders contributions amounting to Kshs 472,632,000. This was on the authorization of a shareholders resolution dated April 30, 2011. A return of allotments dated December 31, 2012 indicates allotments made to the shareholders of 40,467,945 shares to 104 shareholders including Home Afrika Continental and Home Afrika Investments for the shareholders whose share transfer are not complete.

h) The Company in an Extra Ordinary General Meeting held on January 26, 2013 resolved to split the share capital of the company ten times from a par value of Kshs 10 to Kshs 1.

12.2.2. The Company's Subsidiaries

The Company undertakes its businesses either directly or through its several subsidiaries which are:

12.2.2.1. Lakeview Heights Development Limited

Incorporated on 24th October 2012 under company number CPR/2012/87391 with a share capital of Kenya Shillings One Hundred Thousand (KShs. 100,000) divided into One Thousand (1,000) shares of Kenya Shillings One Hundred (KShs.100/=) each. The shareholders at incorporation are as follows:

- Home Afrika Limited – 999 shares
- Stephen Mallowah - - 1 share (as nominee)

12.2.2.2. Lango Allied Investment Limited

Incorporated on the 6th December 2012 under Company Number CPR/2012/90531 with a share capital of Kenya Shillings One Hundred Thousand (KShs. 100,000) divided into One Thousand (1,000) shares of Kenya Shillings One Hundred (KShs.100/=) each. The shareholders at incorporation are as follows:

- Home Afrika Limited – 999 shares
- Ketan Shah - - 1 share (as nominee)

12.2.2.3. Lango Development Company

Incorporated on 7th November 2012 under company number CPR/2012/88442 and having a share capital of Kenya Shillings One Hundred Thousand (KShs 100,000) divided into One Thousand (1,000) shares of Kenya Shillings One Hundred (KShs. 100/=) each. The shareholders at incorporation are as follows:

- Home Afrika Limited – 999 shares
- Ketan Shah - - 1 share (as nominee)

12.2.2.4. Lango Management Company Limited

Incorporated on 7th November 2012 under certificate of incorporation number CPR/2012/88444 with a share capital of Kenya Shillings One Hundred Thousand (KShs. 100,000) divided into One Thousand (1,000) shares of Kenya Shillings One Hundred (KShs.100/=) each. The shareholders at incorporation are as follows:

- Lango Development Limited – 999 shares
- Ketan Shah - - 1 share (as nominee)

12.2.2.5. Lakeview Management Limited

The share capital of the Lakeview Management Limited is Kenya Shillings One Hundred Thousand (KShs 100,000) divided into One Thousand (1,000) shares of Kenya Shillings One Hundred (KShs.100/=) each. The shareholders at incorporation are as follows:

- Home Afrika Limited – 999 shares
- Ketan Shah - - 1 share (as nominee)

12.2.2.6. Lakeview Holding Limited

Incorporated on 7th November 2012 under company number CPR/2012/88440 with a share capital of Kenya Shillings One Hundred Thousand (KShs. 100,000) divided into One Thousand (1,000) shares of Kenya Shillings One Hundred (KShs.100/=) each. The shareholders at incorporation are as follows:

- Home Afrika Limited – 999 shares
- Stephen Mallowah - - 1 share (as nominee)

12.2.2.7. Home Afrika Communities Limited

Incorporated on July 14, 2010 with certificate number CPR/2010/27181. As at January 2012, the authorized and share capital was 1,000 shares of Kshs 100 each held by Home Africa with 600 shares (60%) Tulip Trustee Company Ltd with 200 shares and Linyanti Ltd with 200 shares.

12.2.2.8. Home Afrika Property Exchange Limited

As at December 2011, the authorized and issued share capital was 1,000 shares of Kshs 100 each held by Home Africa

(999 shares) and Benjamin Mbira (1 share).

12.2.2.9. Suburban Limited

Incorporated on April 7, 2009 with certificate number CPR/2009/989. As at January 2012, the authorized and share capital was 1,000 shares of Kshs 100 each held by Home Africa (500 shares) Morningside Development Ltd (300 shares) and InvesteQ Capital Ltd (200 shares).

12.2.2.10. Mitini Scopes Development Limited

Incorporated on April 15, 2011 with certificate number CPR/2011/45777. As at September 2012, the authorized and issued share capital was 100 shares of Kshs 1,000 each held by Home Africa (99 shares) and Boniface Kamau (1 share as nominee).

12.2.2.11. Morningside Management Limited

Incorporated on December 21, 2010 with certificate number CPR/2010/37373. As at December 2011, the authorized and share capital was 1,000 shares of Kshs 100 each held by Morningside Properties Limited (999 shares) and Benjamin Mbira (1 share as nominee).

12.2.2.12. Kikwetu Development Limited

Incorporated on October 25, 2012 with certificate number CPR/2012/87144. The shareholders at incorporation were as follows:

- Home Afrika Limited – 1 share
- Benjamin Mbira Gikonyo – 1 share (as nominee)

12.2.3. Properties

The following is a summary of the Company's properties.

Property Details	Owned by	Encumbrances
L.R. Number 2/704 – Morningside Office Park Limited (Main Title)	Morningside Properties Limited (leasehold for a term of 99 years from 1/07/2005)	There is documentation (executed offer letter) indicating that this title was to be charged to I&M Bank for KShs. 45,000,000 but the charge has not yet been created over the property.
Unit Number 2, 5th Floor Morning Side Office Park on L.R. No. 2/704 together with 8 parking bays	Home Afrika Limited (for a term of 99 years from 1/07/2005)	There is documentation (executed offer letter) indicating that this title was to be charged to I&M Bank for KShs. 45,000,000 but the charge has not yet been created over the property.
Unit F, 1st Floor, Morning Side Office park on L.R. No. 2/704 together with 8 parking bays	Home Afrika Limited (for a term of 99 years from 1/07/2005)	N/A
L.R Number 29509 Kiambu (main Title)	Home Afrika Communities Limited (leasehold for a term of 99 years from 1/10/2011)	N/A
Units HC01, CC01, F01,F02, F03, F04, F05, F06, F07 and F08 all situated on L.R. No. 29059 Kiambu	Home Afrika Communities Limited (for a term of 95 years from 1/10/2011)	Charge dated 9th September 2012 over all these units in favor of Equity Bank Limited for KShs. 100,000,000/=

Unit PDS S03 erected on L.R. No. 29059 Kiambu	Mitini Scapes Development Limited (leasehold for a term of 95 years from 1/10/2011)	No charges/mortgages

12.2.4. Insurance

The following is a list of insurance policies entered into by the Company and/or its subsidiaries:

Policy Number	Insurer	Insured	Subject	Premium	Renewal
JP12CP0005	Heritage Insurance Company	Suburban Limited	All risks policy - Offices at L.R. No.2/704 Ngong Road Morningside office park 5th Floor penthouse 1	Kshs. 6,753/=	Policy valid until 28/02/2013
JP09CP0009	Heritage Insurance company	Home Afrika Limited	All risk policy covering –Public Liability and work Injury Benefits,	Kshs. 391,749/=	Policy valid until 04/03/2013
070044705	Chartis Insurance	Home Afrika Communities Limited	Combined policy – general liability, Buildings, Office contents, Burglary	Kshs. 178,126/= (total premium)	Policy valid until 31st July 2013
JP11A00001	Heritage Insurance	Suburban Limited/ Morningside Office Park Limited/I&M Bank Limited	Fire Material Damage – L.R. No. 2/704 Morningside Office Park, Ngong Road, Nairobi	Kshs. 1,270,171/=	Policy valid until 01/01/2013

12.2.5. Material Contracts

12.2.5.1. Agreement for Finance Sourcing with the Mortgage Company

This is an agreement entered into between Kikwetu Development Limited and The Mortgage Company under which the Company is contracting the services of The Mortgage Company in procuring financing for the Company in relation to the purchase of 1,000 acres of land in Stoney Athi and the subsequent development.

12.2.5.2. Licensing

The single Business Permit issued by the Nairobi City Council in respect of its offices at Morning side Office Park on Ngong Road, Nairobi authorizes the Company to conduct House Development business, and is valid for the year 2013.

12.2.6. Material Borrowings

12.2.6.1. Term Loan Facility from I&M Bank

A term loan for Kenya Shillings Forty Five Million supported by a guarantee issued by Lee Gituto Karuri, Geoffrey Mbugua Kamau, Dan Ochieng Awendo, Susan Kasinga, Lucy Wanjiku Maina, Benjamin Mbira Gikonyo, Nazima Malik, Steve Mallowa and Nyagah Boore Kithinji.

12.2.6.2. Facility letter from Equity Bank

The loan facility offered to Home Afrika Communities Limited is dated 3rd August 2011 and is for an amount of Kshs. 100, 000, 000. The principal was to be repaid in two installments of Kshs. 50,000,000 at the end of the 6th month and the remaining principal at the end of the 12th month. The first principal repayment was payable on 18th March 2013 and was fully paid on time.

This facility was to be secured by:

- First legal charge over the property No. HC01, CC01, PDS F01,F02,F03,F04, F05,F06, F07, and F08, all being portions to be carved out of Title IR No. 133694 (LR No. 29059) to be registered an stamped in favor of Equity Bank Ltd for 100,000,000.
- Corporate guarantees by Home Afrika Ltd, Tulip Company Ltd and Linyanti Ltd for Kshs. 100,000,000 in favor of the Bank.

12.2.7. LITIGATION/DISPUTES

The Company only has one ongoing dispute with Frontier Finance Limited in which the latter claims certain amounts from the Company in respect of services provided to the Company in sourcing financing in favor of the Company from Kenya Commercial Bank. The Company's position is that as the agreement provided for the payment of the fees as a percentage of the actual disbursed amount, and given that no disbursement occurred, they do not accept the request for fund placement.

12.2.8. DOCUMENTS FOR INSPECTION

Copies of the following key documents among others will be available for inspection at the Company's Virtual Data Room up until the date of the close of the offer:

a) This Listing Statement.
b) The Company's Memorandum of Articles of Association.
c) The Certificate of Incorporation.
d) The Board of Directors Resolution approving the offer.
e) Copies of material contracts listed in this Listing Statement.
f) The Shareholders Resolution approving the offer.
g) The audited annual reports for the financial years ended 2010, 2011 and 2012.

13. Directors' Statement

We hereby declare that to the best of our knowledge, information and belief, (having taken all reasonable care to ensure that such is the case) all information contained in this Listing Statement and the statements contained in the reports herein are correct, and neither the Board of Directors' minutes, audit reports nor any other internal documents contain information, which could distort the interpretation of the report or affect the import of such information.

The Board of Directors of the Group confirm that in their opinion the working capital available to the Company and its subsidiaries is sufficient for its present requirements.

There have been no audited or interim financial statements of the Group that have been published subsequent to 31 December 2012 to the date of this Prospectus. The Directors of the Group are not aware of any significant changes in the financial or trading position of the Company that has occurred since the financial year ended 31 December 2012. The issued capital of the Group is adequate for the purposes of the Company and of its subsidiaries for the foreseeable future.

Signed.................................. Lee Karuri Chairman	Signed.................................. Dr. Mbira Gikonyo Vice Chairman
Signed.................................. Gerald Chege Chief Executive Officer	Signed.................................. Eng. Mbugua Kamau Director
Signed.................................. Dan Awendo Director	Signed.................................. Nyagah Kithinji Director
Signed.................................. Lucy Maina Director	Signed.................................. Mbugua Gecaga Director
Signed.................................. Gilbert Kibe Director	Signed.................................. Ken Wathome Director
Signed.................................. Jane Adam Director	

mboya wangong'u & waiyaki

Lex Chambers,
Maji Mazuri Road,
off James Gichuru Road,
Lavington,
P. O. Box 74041 – 00200,
Nairobi, Kenya.
Dropping Zone No. 214,
Revlon Professional Plaza.

ADVOCATES
COMMISSIONERS FOR OATHS
NOTARIES PUBLIC
COMPANY SECRETARIES
PATENT & TRADEMARK AGENTS

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Our Ref: H094/002/M/2013/W **Your Ref: TBA**

July 15, 2013
The Directors
Home Afrika Limited
Morningside Office Park
Ngong Road
P. O. Box 6254 - 00100,
Nairobi.

Dear Sirs,

RE: LEGAL OPINION IN RESPECT OF LISTING BY INTRODUCTION
We act as legal advisers to Home Afrika Limited ("the Company") in relation to the proposed listing of its shares in the Growth Enterprise Market Segment of the Nairobi Securities Exchange ("the Listing").

We are Advocates of the High Court of Kenya, practicing and qualified as such to practice in Kenya, and to advise upon the laws of Kenya.

This legal opinion ("this Opinion") is given in relation to the Listing.

We have acted as the Legal Advisors in the Listing and have issued this Opinion for inclusion in the Listing Statement.

1. PRELIMINARY MATTERS

1.1. Unless (a) otherwise stated; or (b) the context otherwise requires, words and terms defined in the Listing Statement bear the same meanings in this Opinion.

GODWIN WANGONG'U GLADYS MBOYA PETER M. WAIYAKI DAVID MWAURA

VAT NUMBER 0140284H PIN NUMBER P051163306K

TAGLaw

1.2. This Opinion is limited to Kenyan Law as applied in the Courts of Kenya and as of the date of this Opinion and to matters of fact prevailing as of the date of this Opinion.

2. ASSUMPTIONS AND DOCUMENTS REVIEWED
2.1. For the purposes of this Opinion, we have made the following assumptions:

2.1.1. all information contained in the Listing Statement and all information provided to us by the Company, and its officers and advisers is true, accurate and up to date.

2.1.2. the authenticity and completeness of all documents submitted to us as originals or copies, the genuineness of all signatures, the conformity to originals of all copies, and the accuracy of any translations.

2.1.3. That representations made to us by officers and agents of the Company are true in all material respects.

2.2. For the purposes of this Opinion, we have examined originals or copies certified to our satisfaction of the following documents:

2.2.1. Memorandum and Articles of Association in force as at the date of this Opinion.

2.2.2. The Company's annual returns for the last three years.

2.2.3. The Company's statutory books;

2.2.4. Documents filed by the Company with the Registrar of Companies;

2.2.5. Title documents of immoveable property in the name of the Company;

2.2.6. Details of contracts and disputes to which the Company is a party;

2.2.7. Audited accounts of the Company for the last three years;

2.2.8. Such other records and documents as we have considered necessary or appropriate for the purposes of this Opinion in respect of the Company and its subsidiaries.

3. OPINION
Based upon and subject to (1) the foregoing; (2) the reservations set out below; and (3) to any matters not disclosed to us, we are of the opinion that:

3.1. STATUS OF THE COMPANY

3.1.1. The Company is a public limited liability company, duly registered under the Companies Act (Cap 486 of the Laws of Kenya) and bearing Registration Number C. 8/2011.

3.1.2. The disclosure made in the Listing Statement listing the shareholders of the Company is correct.

GODWIN WANGONG'U GLADYS MBOYA PETER M. WAIYAKI DAVID MWAURA

VAT NUMBER 0140284H PIN NUMBER P051163306K

TAGLaw

3.1.3. The Registered Office of the Company is Morningside office Park, Ngong Road, P.O. Box 75362-00200, Nairobi.

3.1.4. The Company has the power and authority to list in the Nairobi Securities Exchange by way of introduction having obtained the consent fo the Board of Directors, the shareholders and the Nairobi Securities Exchange.

3.1.5. The Company has, at the date hereof, a Board of Directors consisting of the following individuals:
- Lee Gituto Karuri;
- Geoffrey Mbugua Kamau;
- Lucy Wanjiku Maina;
- Benjamin Mbira Gikonyo;
- Nyagah Boore Kithinji;
- Dan Ochieng Awendo;
- Jane Wambui Adam;
- Kenneth Wathome Mwatu;
- Gilbert Macharia Kibe; and
- Mbugua Gecaga.

3.1.6. The Company Secretary of the Company is Ms. Esther Ndegi Njiru, Certified Company Secretary Number 1444, P.O. Box 2050-00200, Nairobi.

3.1.7. The Company maintains its statutory books at the offices of its Company Secretary.

3.2. LICENSES AND CONSENTS
All authorizations, approvals, consents, licenses, exemptions, filings or registrations of or with any governmental or public bodies or authorities of or in Kenya required in connection with the business of the Company have been obtained in proper form, and are in full force and effect.

3.3. SHARE CAPITAL

3.3.1. The authorised share capital of the Company is Kenya Shillings Five Hundred Million (KShs. 500,000,000/=) divided into Five Hundred Million (500,000,000) ordinary shares of Kenya Shillings One (Kshs. 1/=) each.

3.3.2. The issued share capital of the Company is Kenya Shillings Four Hundred and Five Million, Two Hundred and Fifty Five Thousand, Three Hundred and Twenty (Kshs. 405,255,320/=) divided into Four Hundred and Five Million, Two Hundred and Fifty Five Thousand, Three Hundred and Twenty ordinary shares of Kenya Shillings One (Kshs. 1/=) each.

3.3.3. The existing capital of the Company is in conformity with applicable laws and has received all necessary authorizations. There are no proposed changes to the existing capital of the Company.

3.4. OWNERSHIP OF ASSETS

3.4.1. The Company owns the following properties either directly or through its subsidiaries:

- L.R. Number 2/704 – Morningside Office Park Limited;
- Unit Number 2, 5th Floor Morning Side Office Park on L.R. No. 2/704 together with 8 parking bays;
- Unit F, 1st Floor, Morning Side Office park on L.R. No. 2/704 together with 8 parking bays;
- L.R Number 29509 Kiambu;
- Units HC01, CC01, F01,F02, F03, F04, F05, F06, F07 and F08 all situated on L.R. No. 29059 Kiambu; and
- Unit PDS S03 erected on L.R. No. 29059 Kiambu.

3.4.2. There are encumbrances against some of the titles above securing a total of Kenya Shillings One Hundred and Forty Five Million (KShs. 145,000,000/=) in favour of two licensed commercial banks in Kenya.

3.5. SUBSIDIARIES

The following companies are subsidiaries of the Company:

- Suburban Limited;
- Home Afrika Communities Limited;
- Home Afrika Property Exchange Limited;
- Mitini Scapes Development Limited;
- Kikwetu Development Limited;
- Lakeview Heights Development Limited;
- Lakeview Management Limited;
- Lakeview Holding Limited;
- Lango Allied Investment Limited;
- Lango Development Company; and
- Lango Management Company Limited.

3.6. MATERIAL LITIGATION

The Company is not a party to, and has not been threatened with, any material litigation that has not been disclosed in the Listing Statement.

3.7. MATERIAL CONTRACTS

3.7.1. Save for contracts entered into in the ordinary course of business, the Company has not entered in to any material contracts which are not disclosed in the Listing Statement.

3.7.2. As at the date of this Listing Statement, the Company is not in breach of any material contractual obligations except where disclosed in the Listing Statement.

3.7.3. Excepting contracts with advisers engaged by the Company for the Listing, there are no contracts with any bank, securities exchange, investment banks, brokers or any other person in respect to the Listing.

3.8. MATERIAL BORROWINGS

3.8.1. The Company and its subsidiaries have existing bank facilities with two licensed commercial banks in Kenya for a total sum not exceeding Kenya Shillings One Hundred and Fourty Five Million (KShs. 145,000,000/=) secured by encumbrances on immoveable property owned by the Company
and its subsidiaries.

GODWIN WANGONG'U GLADYS MBOYA PETER M. WAIYAKI DAVID MWAURA

VAT NUMBER 0140284H PIN NUMBER P051163306K

TAGLaw

3.8.2. The borrowing powers of the Company and its subsidiaries have not been exceeded.

4. CONSENT

We consent to the inclusion of our legal opinion in the Listing Statement to be issued for the Listing in the form and context in which it appears. We confirm that we have given and as at the date of issue of the Listing Statement have not withdrawn our consent to its issue and the inclusion of our legal opinion herein.

5. RESERVATIONS

5.1. We express no opinion as to any document other than the material documents expressly referred to above.

5.2. We express no opinion as to any law other than Kenyan law in force, and as interpreted, at the date of this Opinion.

5.3. We express no opinion as to any matter not stated herein.

Yours Faithfully,

GODWIN WANGONG'U
gwangongu@lexgroupafrica.com
GW/cg

Reporting accountant's report

For the four years to 31 December 2012

Introduction

We are pleased to present the audited consolidated financial statements for Home Afrika Limited set out on pages 3 to 31 for the four years to 31 December 2012 in accordance with the requirements of Section 6 and Part A of the Third Schedule to the Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations, 2002.

The directors of the group are responsible for the preparation of the Listing Statement and all the information contained therein and for the financial statements and financial information to which our Accountants' Report relates. Our responsibility is to review and compile the financial information set out in our report from the financial statements.

Other than as stated in our Accountant's Report, we have not audited any other information relating to the group.

The financial statements of the group have received unqualified audit reports throughout the period covered by our Accountant's Report.

The financial information set out in this report is compiled by reference to the audited financial statements of the group for the four years to 31 December 2012 in accordance with the International Standard on Related Services (ISRS) 4410 on Engagements to Compile Financial Statements.

REVIEW PROCEDURES

We have carried out a review of the audited financial statements of the group for the four years to 31 December 2012. Our review was carried out in accordance with the International Standard on Review Engagement (ISRE) 2400 on Engagements to Review Financial Statements. This Standard requires that we plan and perform the review to obtain moderate assurance as to whether the financial statements are free from material misstatement. A review is limited primarily to enquiries of the management, previous auditors and analytical procedures applied to financial data, and thus provides less assurance than an audit. We have made enquiries of the management about the operations of the group and its accounting practices and principles. We have not made enquires from the previous auditors; Baker Tilly Merali's and Deloitte & Touche.
We have audited the financial statements for the years ended 31 December 2012. Our audit was conducted in accordance with International Standards on Auditing. These standards require that we comply with ethical requirements, plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free from material misstatement. An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion. We have not performed an audit for the three years to 31 December 2011 and accordingly, we do not express an audit opinion on those periods except insofar as the results to1 December 2011 are part of the comparative information provided for the financial year for the year ended 31 December 2012.

Where necessary we have adjusted the financial statement to conform with changes in accounting policies applied in the latest year.

OPINION

Based on our review, nothing has come to our attention that causes us to believe that the audited consolidated financial statements of Home Afrika Limited for the four years to 31 December 2012 do not give a true and fair view in accordance with International Financial Reporting Standards.

CONSENT

We consent to the inclusion of this report in the Listing Statement to be issued on or about 15th July 2013 in the form and context in which it appears.

Certified Public Accountants

PIN NO. P051130467R

PKF Kenya

NAIROBI

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Notes

The principal accounting policies adopted in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

a) Basis of preparation

The consolidated financial statements have been prepared under the historical cost convention, except as indicated otherwise below and are in accordance with International Financial Reporting Standards (IFRS).

(i) New and amended standards adopted by the group

The group has applied the amendments to IAS 1 Presentation of Items of Other Comprehensive Income in advance of the effective date. The amendments introduce new terminology for the statement of comprehensive income and income statement. Under the amendments to IAS 1, the 'statement of comprehensive income' is renamed the 'statement of profit or loss and other comprehensive income' and the 'income statement' is renamed the 'statement of profit or loss'. The effective date is for annual periods beginning on or after 1 July 2012.

(ii) New standards, amendments and interpretations issued but not effective for the financial year beginning 1 January 2012 and not adopted in advance of the effective date.

International Financial Reporting Standard 10 (IFRS 10) on 'Consolidated Financial Statements' builds on existing principles by identifying the concept of control as the determining factor in whether an entity should be included within the consolidated financial statements of the parent group. The standard provides additional guidance to assist in the determination of control where this is difficult to assess. Adoption is mandatory from 1 January 2013 although early adoption is permissible. The group has assessed the impact of implementing IFRS 10 and expects no significant change in the method of accounting.

International Financial Reporting Standard 11 (IFRS 11) on 'Joint Arrangements' outlines the accounting treatments for entities that jointly control an arrangement. The standard replaces the current IAS 31 on Joint Ventures. Adoption is mandatory from 1 January 2013 although early adoption is permissible.

The group has not assessed the potential impact of IFRS 11 on its consolidated financial statements. International Financial Reporting Standard 12 (IFRS 12) on 'Disclosures of Interests in Other Entities' enhances the disclosure requirements about an entity's interests in subsidiaries, joint arrangements, associates and unconsolidated 'structured entities'. Adoption is mandatory from 1 January 2013 although early adoption is permissible.

The group has not assessed the potential impact of IFRS 12 on its consolidated financial statements. IFRS 9, 'Financial instruments', addresses the classification, measurement and recognition of financial assets and financial liabilities.

IFRS 9 requires financial assets to be classified into two principal measurement categories: those measured as at fair value and those measured at amortised cost. The group is yet to assess. IFRS 9's full impact and intends to adopt IFRS 9 no later than the accounting period beginning on or after 1 January 2015.

Amendments to IFRS 7 and IAS 32: The amendments to IAS 32 clarify existing application issues relating to the offsest of financial assets and financial liabilities requirements. Specifically, the amendments clarify the meaning of 'currently has a legally enforceable right of set-off and simultaneous realization and settlement.

The amendments to IFRS 7 require entities to disclose information about rights of offset and related arrangements for financial instruments under an enforceable master netting agreement or similar arrangement.

The amendments to IFRS 7 are effective for annual periods beginning on or after 1 January 2013. with retrospective disclosures for all comparative periods. However, the amendments to IAS 32 are not effective until annual periods beginning on or after 1 January 2014, with retrospective application required.

The group has not assessed the potential impact of IFRS 7 and IAS 32 on its consolidated financial statements. There are no other IFRSs or IFRIC interpretations that are not yet effective that would be expected to have a material impact on the group.

b) Revenue recognition

Revenue comprises the fair value of the consideration received or receivable for the sale of goods and/or perfor-

Notes *(Continues)*

mance of services, in the ordinary course of business and is stated net of Value Added Tax (VAT), rebates and discounts.

The group recognises revenue when the amount of revenue can be reliably measured, it is probable that future economic benefits will flow to the entity and when the specific criteria have been met for each of the group's activities as described below. The amount of revenue is not considered to be reliably measured until all contingencies relating to the sale have been resolved. The group bases its estimates on historical results, taking into consideration the type of customer, type of transaction and specifics of and specifics of each arrangement.

i) Revenue from sale of land is recognised upon the execution and transfer of land title deedsto the buyer.
ii) Revenue from sale of office space is recognised upon the transfer to the buyers the significant risks and rewards of ownership of the office space, the entity retains neither continuing managerial involvement to the degree usually associated with ownership nor effective control over the office space sold.
iii) Interest income is recognised on a time proportion basis using the effective interest method.
iv) Dividend income is recognised if declared before the financial statements are authorised for issue.
v) Rental income is accrued by reference to time on a straight line basis over the lease term

c) Investment in subsidiaries/consolidation

Subsidiaries are all entities (including special purpose entities) over which the group has the power to govern the financial and operating policies generally accompanying a shareholding of more than one half of the voting rights. The existence and effect of potential voting rights that are currently exercisable or convertible are considered when assessing whether the group controls another entity.

The group also assesses the existence of control where it does not have more than 50% of the voting rights power but is able to govern the financial and operating policies of a subsidiary.
Control may arise in circumstances where the size of the group's voting rights relative to the size and dispersion of holdings of other shareholders give the group the power to govern the financial and operating policies.

Inter-group transactions, balances, income and expenses on transactions between group companies are eliminated. Profits and losses resulting from inter-group transactions that are recognised in assets are also eliminated. Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the group.

d) Property and equipment

All property and equipment is initially recorded at cost and thereafter stated at historical
cost less depreciation. Historical cost comprises expenditure initially incurred to bring the asset to its location and condition ready for its intended use.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the group and the cost can be reliably measured. The carrying amount of the replaced part is derecognised. All other repairs and maintenance are charged to profit or loss during the financial year in which they are incurred.

Depreciation on all other assets is calculated on the reducing balance basis method to write down the cost of each asset, or the revalued amount, to its residual value over its estimated useful life using the following annual rates:

	Rate %	
Buildings	2.5%	(Straight line)
Motor vehicles	25.0%	
Furniture and fittings	30.0%	
Office equipment	12.5%	
Computer equipment	12.5%	

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting period.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount. Gains and losses on disposal of property, plant and equipment are determined by comparing the proceeds with the carrying amount and are taken into account in determining operating profit/loss.

e) Intangible assets

Intangible assets with finite useful lives that are acquired separately are carried at cost less accumulated amortisa-

Notes *(Continues)*

tion and accumulated impairment losses. Amortisation is recognised on a straight-line basis over their estimated useful lives. The estimated useful life and amortization method are reviewed at the end of each reporting period, with the effect of any changes in estimate being accounted for on a prospective basis. Intangible assets with indefinite useful lives that are acquired separately are carried at cost less accumulated impairment losses.

f) Financial instruments

Financial assets and financial liabilities are recognised when the group becomes a party to the contractual provisions of the instrument. Management determines all classification of financial assets at initial recognition.

- Financial assets

Financial assets are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss.

The company's financial assets fall into the following categories:

- Available-for-sale: financial assets that are held for an indefinite period of time, which may be sold in response to needs for liquidity or changes in interest rate. Such assets are classified as non-current assets except where the management intends to dispose the assets within 12 months of the reporting date. Subsequent to initial recognition, they are carried at fair value with gains or losses are recognised in other comprehensive income, net of deferred tax *(where applicable).

Interest on available-for-sale securities is calculated using the effective interest method and is recognised in profit or loss as part of other income. Dividends on available-for-sale equity instruments are also recognised in profit or loss as part of other income when the group's right to receive payments is established.

- Loans and receivables: financial assets with fixed or determinable payments that are not quoted in an active market. Such assets are classified as current assets where maturities are within 12 months of the reporting date. All assets with maturities greater than 12 months after the reporting date are classified as non-current assets. Subsequent to initial recognition, they are carried at amortised cost using the effective interest method. Changes in the carrying amount are recognised in profit or loss. Purchases and sales of financial assets are recognised on the trade date i.e. the date on which the company commits to purchase or sell the asset.

Financial assets are derecognised when the rights to receive cash flows from the assets have expired or have been transferred and the company has transferred substantially all risks and rewards of ownership.

A financial asset is impaired if its carrying amount is greater than its estimated recoverable amount. Impairment of financial assets is recognised in the statement of comprehensive income under administrative expenses when there is objective evidence that the company will not be able to collect all amounts due per the original terms of the contract. Significant financial difficulties of the issuer, probability that the issuer will enter bankruptcy or financial reorganisation, default in payments and a prolonged decline in fair value of the asset are considered indicators that the asset is impaired.

The amount of the impairment loss is calculated as the difference between the assets carrying amount and the present values of expected future cash flows, discounted at the financial instrument's effective interest rate.

Subsequent recoveries of amounts previously written off/impaired are credited to profit or loss/other comprehensive income in the year in which they occur.
Unquoted investments are classified as 'available-for-sale' financial instruments. Where fair values cannot be reliably measured these investments are carried at cost less provision for impairment.

Cash in hand and balances with financial institutions, trade and other receivables and tax recoverable and are classified as loans and receivables and are carried at amortised cost.

Management classify the fair values of financial assets based on the qualitative characteristics of the fair valuation as at the financial year end. The three hierarchy levels used by management are:

- Level 1: where fair values are based on non-adjusted quoted prices in active markets for identical financial assets.
- Level 2: where fair values are based on adjusted quoted prices and observable prices of similar financial assets.
- Level 3: where fair values are not based on observable market data.
- Financial liabilities

Notes *(Continues)*

Financial liabilities measured at amortised cost : These include borrowings, currenttax and trade and other payables. These are initially measured at fair value and subsequently measured at amortised cost, using the effective interest rate method.
Borrowings are initially recognised at fair value, net of transaction costs incurred and are subsequently stated at amortised cost. Any difference between the proceeds (net of transaction costs) and the redemption value is recognised as interest expense in profit or loss under finance costs.

All financial liabilities are classified as current liabilities unless the company has an unconditional right to defer settlement of the liability for at least 12 months after the reporting date.

Financial liabilities are derecognised when, and only when, the company's obligations aredischarged, cancelled or expired.

g) Inventories

Inventories comprise of land and units held for sale and is stated at the lower of cost and net realisable value. Cost is determined by the first-in-first-out (FIFO) basis and comprises all costs attributable to purchase of the land.
Where the land is held for trading, the land is reclassified from finance lease to inventory. The risks and rewards of ownership of the land are transferred buyers on conclusion of sale.

h) Cash and cash equivalents

For the purposes of the cash flow statement, cash and cash equivalents comprise cash in hand and deposits held at call with banks.

i) Share capital

Ordinary shares are classified as equity. Mandatorily redeemable preference shares are classified as liabilities.

j) Dividends

Proposed dividends are disclosed as a separate component of equity until declared.

Dividends are recognised as a liabilities in the period in which they are approved by the group's shareholders.

k) Taxation

Current tax
Current tax is provided on the results for the year, adjusted in accordance with tax legislation.
Deferred tax
Deferred tax is provided using the liability method for all temporary timing differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred tax. Deferred tax assets are recognised only to the extent that it is probable that future taxable profits will be availableagainst which temporary timing differences can be utilised.

l) Accounting for leases

The group as lessee
Leases of assets where the group assumes substantially all the risks and rewards of ownership, are classified as finance leases.

Assets held under finance leases are initially recognised as assets of the Group at their fair value at the inception of the lease or, if lower, at the present value of the minimum lease payments. The corresponding liability to the lessor is included in the consolidated statement of financial position as a finance lease obligation.

Lease payments are apportioned between finance expenses and reduction of the lease obligation so as to achieve a constant rate of interest on the remaining balance of the liability.

Finance expenses are recognised immediately in profit or loss, unless they are directly attributable to qualifying assets, in which case they are capitalised in accordance with the Contingent rentals are recognised as expenses in the periods in which they are incurred. Such property, plant and equipment is depreciated over its useful life.

m) Retirement benefit obligations

The group and its employees contribute to the National Social Security Fund (NSSF), a statutory defined contribution scheme registered under the NSSF Act. The group's contributions to the defined contribution scheme are charged to profit or loss in the year to which they relate.

n) Comparatives

Where necessary, comparatives figures have been adjusted to conform with changes in presentation in the current year.

Consolidated Statement Of Profit or Loss and other Comprehensive Income

	Notes	2012 Shs	2011 Shs	2010 Shs	2009 Shs
Revenue	1	839,116,340	520,476,605	56,547,000	2,944,438
Cost of sales		(331,897,043)	(491,793,544)	(23,309,000)	-
Gross profit		507,219,297	28,683,061	33,238,000	2,944,438
Other operating income	2	5,083,007	1,709,441	17,042,322	8,495,962
Selling and distribution		(42,427,279)	(103,254,922)	(5,188,969)	(7,470)
Administrative expenses		(110,572,075)	(113,247,681)	(16,356,579)	(22,011,113)
Other operating expenses		(21,577,619)	(20,713,448)	(4,512,308)	(2,523,260)
Operating profit/(loss)	3	337,725,331	(206,823,549)	24,222,466	(13,101,443)
Finance costs	5	(79,875,635)	(78,274,462)	-	-
Profit/(loss) before tax		257,849,696	(285,098,011)	24,222,466	(13,101,443)
Tax (charge)/credit	6	(90,169,745)	84,643,400	(9,160,791)	(1,047,359)
Profit for the year		167,679,951	(200,454,611)	15,061,675	(14,148,802)
Total comprehensive income/(loss) for the year/period		167,679,951	(200,454,611)	15,061,675	(14,148,802)
Profit/(loss) attributable to:					
- Owners of the parent		94,592,746	(136,177,332)	10,248,175	(14,148,802)
-Non-controlling interest		73,087,205	(64,277,279)	4,813,500	-
		167,679,951	(200,454,611)	15,061,675	(14,148,802)
Earnings/(loss) per share					
- basic	11	4.67	(89,590.35)	10,248.18	(14,148.80)

Consolidated Statement of Financial Position

As at 31 December	Notes	2012 Shs	2011 Shs	2010 Shs	2009 Shs
CAPITAL EMPLOYED					
Share capital	7	405,255,320	204,000	100,000	100,000
Share premium	8	68,842,038	456,718,358	354,470,857	176,691,715
Accumulated deficit		(84,332,213)	(140,077,959)	(3,900,627)	(14,148,802)
Shareholders' funds		389,765,145	316,844,399	350,670,230	162,642,913
Non-controlling interest		(20,426,174)	(93,513,779)	4,863,500	-
					-
		369,338,971	223,330,620	355,533,730	162,642,913
Non-current liabilities					
Preference share capital	9	150,000,000	150,000,000	150,000,000	-
Deposit for shares	23(iii)	50,748,500	-	-	-
Borrowings	10	39,864,777	36,964,286	159,162,000	-
		240,613,277	186,964,286	309,162,000	-
		609,952,248	410,294,906	664,695,730	162,642,913
REPRESENTED BY					
Non-current assets					
Property and equipment	13	895,744,891	770,256,338	57,414,083	1,255,470
Intangible asset	14	236,503	472,770	-	-
Goodwill on consolidation	15	74,284,247	74,284,247	74,284,247	-
Deposit for shares	16	-	-	-	75,000,000
Financial asset	17	2,000	-	-	49,334,247
Deferred tax	12	12,458,034	86,185,796	1,304,679	-
		982,725,675	931,199,151	133,003,009	125,589,717
Current assets					
Inventories	18	1,271,606,432	1,332,691,238	632,289,000	-
Trade and other receivables	19	114,326,433	50,797,669	69,041,788	463,143
Cash and cash equivalents	20	153,078,889	63,589,864	154,210,003	38,351,034
Tax recoverable		-	9,862,431	-	-
		1,539,011,754	1,456,941,202	855,540,791	38,814,177
Current liabilities					
Deposits payable		440,659	440,659	440,659	400,000
Trade and other payables	21	1,748,715,788	1,456,021,170	154,085,354	806,536
Borrowings	10	157,247,262	521,383,618	159,162,000	-
Tax payable		5,381,472	-	10,160,057	554,445
		1,911,785,181	1,977,845,447	323,848,070	1,760,981
Net current (liabilities)/assets		(372,773,427)	(520,904,245)	531,692,721	37,053,196
		609,952,248	410,294,906	664,695,730	162,642,913

Consolidated Statement of Changes in Equity

	Ordinary Share capital Shs	Share premium Shs	Accumulated deficit Shs	Non controlling interest Shs	Total Shs
Period ended 31 December 2009					
At start of period	-	-	-	-	-
Total comprehensive loss for the period	-	-	(14,148,802)	-	(14,148,802)
Transactions with owners:					
Issue of shares	100,000	-	-	-	100,000
Share premium					
- Issue for cash	-	160,806,622	-	-	160,806,622
- Issued to promoters	-	15,885,093	-	-	15,885,093
At end of period	100,000	176,691,715	(14,148,802)	-	162,642,913
Year ended 31 December 2010					
At start of year	100,000	176,691,715	(14,148,802)	-	162,642,913
Total comprehensive income for the year	-	-	10,248,175	4,813,500	15,061,675
Transactions with owners:					
Issue of shares	-	180,651,245	-	50,000	180,701,245
Share premium paid	-	(2,872,103)	-	-	(2,872,103)
At the end of year	100,000	354,470,857	(3,900,627)	4,863,500	355,533,730

Consolidated Statement of Changes in Equity (Continued)

	Ordinary Share capital Shs	Share premium Shs	Accumulated deficit Shs	Non controlling interest Shs	Total Shs
Year ended 31 December 2011					
At start of year	100,000	354,470,857	(3,900,627)	4,863,500	355,533,730
Total comprehensive loss f or the year	-	-	(136,177,332)	(64,277,279)	(200,454,611)
Dividends paid to minority interest	-	-	-	(34,140,000)	(34,140,000)
Transactions with owners:					
Share capitalised	104,000	(104,000)			
Issue of ordinary share capital	-	102,351,501	-	40,000	102,391,501
At end of year	204,000	456,718,358	(140,077,959)	(93,513,779)	223,330,620
Year ended 31 December 2012					
At start of year	204,000	456,718,358	(140,077,959)	(93,513,779)	223,330,620
Total comprehensive income for the year	-	-	94,592,746	73,087,205	167,679,951
Transactions with owners:					
Issue of shares	-	17,175,000	-	400	17,175,400
Transfer from share premium account	405,051,320	(405,051,320)	-	-	-
Dividends:					
- Final for 2011(paid)	-	(9,850,000)	-	(9,850,000)	
- Interim for 2012	-	-	(28,997,000)	-	(28,997,000)
At end of year	405,255,320	68,842,038	(84,332,213)	(20,426,174)	369,338,971

Consolidated Statement of Cash Flows

	Notes	2012 Shs	2011 Shs	2010 Shs	2009 Shs
Operating activities					
Cash from/(used in) operations	22	632,985,027	400,829,944	(538,216,253)	645,205
Interest paid		(78,471,405	(62,743,212)	-	-
Tax paid		(1,198,080)	(20,260,135)	(860,202)	(492,914)
Net cash from/(used in) operating activities		553,315,542	317,826,597	(539,076,455)	152,291
Investing activities					
Cash paid for purchase of property and equipment	13	(133,864,674)	(717,616,159)	(58,140,431)	(1,659,723)
Cash paid for purchase of intangible assets	14	-	(708,800)	-	-
Proceeds from disposal of property and equipment		981,106	550,000	-	-
Interest received		1,218,016	1,052,818	16,872,713	3,286,091
Financial assets		(2,000)	-	49,334,247	(49,334,247)
Deposit for shares		-	-	715,753	(75,000,000)
Net cash (used in)/from investing activities		(131,667,552)	(716,722,141)	8,782,282	(122,707,879)
Financing activities					
Net movement in bank loan		(372,770,174)	240,023,904	318,324,000	-
Net movement in finance lease		10,134,309	-	-	-
Proceeds from shareholders loan		1,400,000	-	-	-
Preference share capital issued		-	-	150,000,000	-
Dividend paid		(38,847,000)	(34,140,000)	-	-
Proceeds from issue of share capital		400	40,000	50,000	100,000
Proceeds from share premium		17,175,000	102,351,501	177,779,142	160,806,622
Proceeds from deposits for shares		50,748,500	-	-	-
Net cash (used in)/from financing activities		(332,158,965)	308,275,405	646,153,142	160,906,622
Increase/(decrease) in cash and cash equivalents		89,489,025	(90,620,139)	115,858,969	38,351,034
Movements in cash and cash equivalents					
At start of year		63,589,864	154,210,003	38,351,034	-
Increase/(decrease)		89,489,025	(90,620,139)	115,858,969	38,351,034
At end of year	20	153,078,889	63,589,864	154,210,003	38,351,034

Notes to the Reporting Accountant's Report

1. Revenue	**2012 Shs**	**2011 Shs**	**2010 Shs**	**2009 Shs**
Sale of plots	498,250,000	-	-	-
Sale of office suites	342,066,340	513,419,280	56,547,000	-
Project management fees	-	7,057,325	-	2,944,438
Commissions income	(1,200,000)	-	-	-
	839,116,340	520,476,605	56,547,000	2,944,438

2. Other operating income

Gain on disposal of property and equipment	122,463	137,500	-	-
Commitment fees	-	-	80,000	2,280,000
Gross rental income	3,328,800	-	-	-
Other income	413,728	519,123	89,609	2,929,871
Interest earned	1,218,016	1,052,818	16,872,713	3,286,091
	5,083,007	1,709,441	17,042,322	8,495,962

3. Operating profit/(loss)

The following items have been charged in arriving at operating profit/(loss):

Depreciation on property and equipment (Note 13)	7,517,478	4,361,334	1,981,818	404,253
Amortisation of intangible assets (Note 14)	236,267	236,030	-	-
Auditors' remuneration				
- current year	2,034,000	2,734,112	1,026,200	237,800
- under provision in prior years	188,000	-	-	-
Staff costs (Note 4)	45,547,868	31,674,452	5,703,087	2,075,480

4. Staff costs

Salaries and wages	42,805,181	31,437,452	5,529,487	1,988,480
Other staff costs	2,569,087	150,000	-	-
Pension costs:				
- National Social Security Fund	173,600	87,000	173,600	87,000
	45,547,868	31,674,452	5,703,087	2,075,480

Notes to the Reporting Accountant's Report *(Continued)*

	2012 Shs	2011 Shs	2010 Shs	2009 Shs
5. Finance costs				
Interest expense:				
- borrowings	73,628,555	56,243,212	-	-
- committment fees	4,842,850	6,500,000	-	-
- guarantee	-	15,400,000	-	-
- exchange loss on foreign currency borrowings	3,361	131,250	-	-
- finance leases	1,400,869	-	-	-
	79,875,635	78,274,462	-	-

	2012 Shs	2011 Shs	2010 Shs	2009 Shs
6. Tax				
Current tax	16,441,984	237,717	10,465,814	1,047,359
Deferred tax charge/(credit) (Note 12)	73,727,761	(84,881,117)	(1,305,023)	-
Tax charge/(credit)	90,169,745	(84,643,400)	9,160,791	1,047,359

The tax on the group's profit/(loss) before tax differs from the theoretical amount that would arise using the basic rate as follows:

	2012 Shs	2011 Shs	2010 Shs	2009 Shs
Profit/(loss) before tax	257,849,696	(285,098,011)	24,222,466	(13,101,443)
Tax calculated at a tax rate of 30% (2011-2009: 30%)	77,354,909	(85,529,403)	7,266,740	(3,930,433)
Tax effect of:				
- expenses not deductible for tax purposes	1,422,985	692,279	1,894,051	4,977,792
- income not subject to tax	-	(10,053,108)	-	-
- under provision in prior years	106,718	4,788	-	-
- tax losses carried foward	11,285,133	10,242,044	-	-
Tax charge/(credit)	90,169,745	(84,643,400)	9,160,791	1,047,359

Notes to the Reporting Accountant's Report *(Continued)*

7. Share capital

	2012 Shs	2011 Shs	2010 Shs	2009 Shs
Authorised: 50,000,000 (2011:3,000; 2010-2009: 1,000) ordinary shares of shs. 10	500,000,000	300,000	100,000	100,000
(2011-2009: Shs. 100) each				
Issued and fully paid: 40,525,532 (2011: 2,040; 2010-2009:1,000) ordinary shares of Shs. 10	405,255,320	204,000	100,000	100,000

(2011-2009: Shs.100) each

The issued and paid up share capital of the group was increased on 31 December 2012 from Shs. 204,000 to Shs. 405,255,320 by the issuance of 40,525,532 ordinary shares of Shs. 10 each.

Increase of issued share capital from Shs. 100,000 to Shs. 164,000 on 31 October 2011. The authorised share capital of the company was increased from Shs 100,000 to Shs 300,000 on 31 December, 2011.

Increase of authorised share capital from Shs 300,000 to Shs 500,000,000 on 25 October 2012. On the same day there was a split of shares at the ratio of 1: 10 where each with an initial par value of Shs. 100 was divided into ten shares of Shs. 10.

8. Share premium

	2012 Shs	2011 Shs	2010 Shs	2009 Shs
At start of year	456,718,358	354,470,857	176,691,715	-
Share premium paid	-	-	(2,872,103)	-
Issue for cash	17,175,000	102,351,501	180,651,245	160,806,622
Issued to promoters	-	-	-	15,885,093
Conversion to share capital account	(405,051,320)	(104,000)	-	-
At end of year	68,842,038	456,718,358	354,470,857	176,691,715

9. Preference share capital

Cumulative redeemable 1,500,000 preference shares of shs. 100 each	150,000,000	150,000,000	150,000,000	-

The preference shares are redeemable at par value on or after 31 December 2012.

Notes to the Reporting Accountant's Report *(Continued)*

10. Borrowings	2012 Shs	2011 Shs	2010 Shs	2009 Shs
The borrowings are made up as follows:				
Non-current				
Bank loan	30,535,706	36,964,286	159,162,000	-
Finance leases	7,929,071	-	-	-
Shareholders' loan	1,400,000	-	-	-
	39,864,777	36,964,286	159,162,000	-
Current				
Bank loan	155,042,024	521,383,618	159,162,000	-
Finance leases	2,205,238	-	-	-
	157,247,262	521,383,618	159,162,000	-
	197,112,039	558,347,904	318,324,000	-

The borrowings are secured by the following:
(i)I & M Bank Loan
-Joint and several personal guarantees and indemnities of an amount of Shs.45,000,000 each executed by the directors.
-First legal charge/mortgage for an amount of Shs.45,000,000 over property known as Office Suite 2 (Penthouse), 5th floor on L.R. No. 2/704, Ngong Road, Nairobi.
-First legal charge/mortgage for an amount of Shs.400,000,000 over property L.R. No.2/689 registered in the name of Morningside Properties Limited.
-Fixed and floating debenture for an amount of Shs.400,000,000 over all the assets of Suburban Limited.
-Corporate guarantee and indemnity for Shs.400,000,000 executed by Home Africa Limited, Morningside Development Limited, Investeq Capital Limited and Morningside Properties Limited.
-Joint and several personal guarantees and indemnities for an amount of Shs.400,000,000 each to be executed by the directors.

(ii) Equity Bank Loan
-First legal charge of Kshs.100,000,000 over the property Nos HC01, PDS F01, F02, F03, F04, F05, F06, F07 and F09 all being portions curved out of title IR No. 133694 LR No. 29059.
-Corporate guarantee by Home Africa Limited for Shs. 100,000,000.
-Corporate guarantee by Tulip Trustee group Limited for Shs. 100,000,000.
-Corporate guarantee by Linyanti Limited for Shs. 100,000,000.

Notes to the Reporting Accountant's Report *(Continued)*

10. Borrowings *(continued)*

Weighted average effective interest rates at the reporting date were:	2012 Shs	2011 Shs	2010 Shs	2009 Shs
Bank borrowings	21.5%	19.5%	19.5%	-
Finance lease liabilities	23.2%	-	-	-

The carrying amounts of the group's borrowings are denominated in Kenya shillings.

Maturity based on the repayment structure of non-current borrowings (excluding finance lease liabilities) is as follows:

	2012 Shs	2011 Shs	2010 Shs	2009 Shs
Between 1 and 2 years	12,857,160	12,857,160	159,162,000	-
Between 2 and 5 years	24,602,833	24,107,126	-	-
	37,459,993	36,964,286	159,162,000	-

	2012 Shs	2011 Shs	2010 Shs	2009 Shs
Gross finance lease liabilities - minimum lease payments				
Not later than 1 year	3,463,732	-	-	-
Later than 1 year and not later than 5 years	9,604,864	-	-	-
Total gross finance leases	13,068,596	-	-	-
Future interest expense on finance leases	(2,934,287)	-	-	-
Present value of finance leases	10,134,309	-	-	-
Present value of finance leases - minimum lease payments				
Not later than 1 year	2,205,238	-	-	-
Later than 1 year and not later than 5 years	7,929,071	-	-	-
	10,134,309	-	-	-

11. Earnings/(loss) per share

Earnings/(loss) per share is calculated by dividing the net profit/(loss) attributable to shareholders by the weighted average number of ordinary shares in issue during the year.

	2012 Shs	2011 Shs	2010 Shs	2009 Shs
Net profit/(loss) attributable to shareholders	94,592,746	(136,177,332)	10,248,175	(14,148,802)
Weighted average number of ordinary shares	20,245,193	1,520	1,000	1,000
Earnings/(loss) per share	4.67	(89,590.35)	10,248.18	(14,148.80)

Notes to the Reporting Accountant's Report *(Continued)*

12. Deferred tax

Deferred tax is calculated, in full, on all temporary timing differences under the liability method using a principal tax rate of 30% (2011-2009: 30%). The movement on the deferred tax account is as follows:

	2012 Shs	2011 Shs	2010 Shs	2009 Shs
At start of year/period	(86,185,796)	(1,304,679)	-	-
Charge/(credit) to profit or loss (Note 6)	73,727,762	(84,881,117)	(1,304,679)	-
At end of year/period	(12,458,034)	(86,185,796)	(1,304,679)	-

eferred tax (assets) and liabilities, deferred tax charge/(credit) to other comprehensive income and deferred tax charge/(credit) in profit or loss are attributable to the following items:

Year ended 31 December 2012	At start of year Shs	Charge/(credit) to profit or loss Shs	At end of year Shs
Deferred tax assets			
Property and equipment	(710,053)	(132,344)	(842,397)
Tax losses carried forward	(85,475,743)	73,860,106	(11,615,637)
	(86,185,796)	73,727,762	(12,458,034)
Year ended 31 December 2011			
Deferred tax assets			
Property and equipment	27,344	(737,397)	(710,053)
Tax losses carried forward	(1,332,023)	(84,143,720)	(85,475,743)
	(1,304,679)	(84,881,117)	(86,185,796)
Year ended 31 December 2010			
Deferred tax assets			
Property and equipment	-	27,344	27,344
Tax losses carried forward	-	(1,332,023)	(1,332,023)
	-	(1,304,679)	(1,304,679)

Notes to the Reporting Accountant's Report *(Continued)*

13. Property and equipment *(continued)*

Year ended 31 December 2012

	Work in progress Shs	Buildings Shs	Motor vehicles Shs	Computer equipment Shs	Furniture and fittings Shs	Office equipment Shs	Total Shs
Cost							
At start of year	652,803,749	107,758,474	650,000	2,798,420	10,372,182	2,483,269	776,866,094
Reclassification to expense	-	(2,426,007)	-	-	-	-	(2,426,007)
Disposal	-	-	-	(129,000)	(878,106)	-	(1,007,106)
Additions	119,644,750	-	7,200,860	533,100	878,106	8,033,865	136,290,681
At end of year	772,448,499	105,332,467	7,850,860	3,202,520	10,372,182	10,517,134	909,723,662
Depreciation							
At start of year	-	3,254,112	162,500	1,176,901	1,511,797	504,446	6,609,756
Disposal	-	-	-	(38,700)	(109,763)	-	(148,463)
Charge for the year	-	2,613,095	1,922,090	596,076	1,093,828	1,292,389	7,517,478
At end of year	-	5,867,207	2,084,590	1,734,277	2,495,862	1,796,835	13,978,771
Net book value	772,448,499	99,465,260	5,766,270	1,468,243	7,876,320	8,720,299	895,744,891

Notes to the Reporting Accountant's Report *(Continued)*

13. Property and equipment *(continued)*

Year ended 31 December 2011

	Work in progress Shs	Buildings Shs	Motor vehicles Shs	Computer equipment Shs	Furniture and fittings Shs	Office equipment Shs	Total Shs
Cost							
At start of year	-	56,547,000	550,000	977,895	954,731	770,309	59,799,935
Additions	652,803,749	51,211,474	650,000	1,820,525	9,417,451	1,712,960	717,616,159
Disposal	-	-	(550,000)	-	-	-	(550,000)
At end of year	652,803,749	107,758,474	650,000	2,798,420	10,372,182	2,483,269	776,866,094
Depreciation							
At start of year	-	1,413,675	137,500	405,175	227,040	202,532	2,385,922
Disposal	-	-	(137,500)	-	-	-	(137,500)
Charge for the year	-	1,840,437	162,500	771,726	1,284,757	301,914	4,361,334
At end of year	-	3,254,112	162,500	1,176,901	1,511,797	504,446	6,609,756
Net book value	652,803,749	104,504,362	-	1,621,519	8,860,385	1,978,823	770,256,338

Notes to the Reporting Accountant's Report *(Continued)*

13. Property and equipment *(continued)*

Year ended 31 December 2010

Cost	**Buildings Shs**	**Motor vehicles Shs**	**Computer equipment Shs**	**Furniture and fittings Shs**	**Office equipment Shs**	**Total Shs**
At start of year	-	-	354,495	657,650	647,578	1,659,723
Additions	56,547,000	550,000	623,200	297,500	122,731	58,140,431
At end of year	56,547,000	550,000	977,695	955,150	770,309	59,800,154
Depreciation						
At start of year	-	-	159,523	123,309	121,421	404,253
Charge for the year	1,413,675	138,000	245,052	103,980	81,111	1,981,818
At end of year	1,413,675	138,000	404,575	227,289	202,532	2,386,071
Net book values	55,133,325	412,000	573,120	727,861	567,777	57,414,083
Year ended 31 December 2009						
Cost						
At start of year	-	-	-	-	-	-
Additions	-	-	354,495	657,650	647,578	1,659,723
At end of year	-	-	354,495	657,650	647,578	1,659,723
Depreciation						
At start of year	-	-	-	-	-	-
Charge for the year	-	-	159,523	123,309	121,421	404,253
At end of year	-	-	159,523	123,309	121,421	404,253
Net book values	-	-	194,972	534,341	526,157	1,255,470

Buildings amounting to Shs. 44,540,133 have been pledged as security against borrowings as disclosed in Note 10.

Notes to the Reporting Accountant's Report *(Continued)*

14. Intangible assets - software

	2012 Shs	2011 Shs	2010 Shs	2009 Shs
Cost				
At start of year	708,800	-	-	-
Additions - Website cost	-	708,800	-	-
At end of year	708,800	708,800	-	-
Accumulated amortisation				
At start of year	236,030	-	-	-
Amortisation for the year	236,267	236,030	-	-
At end of year	472,297	236,030	-	-
Carrying amount	236,503	472,770	-	-

15. Goodwill

At cost	74,284,247	74,284,247	74,284,247	-

The goodwill arose from acquisition of a subsidiary, Suburban Limited.

Goodwill has been allocated for impairment testing purpose to the cash generating unit, the inventory of the subsidiary company. The unit continues to generate positive cash flows. The recoverable cash is based on the current market trends in the real estate industry.

The cash flows are from the generating unit are based on expected return on capital invested at a rate of up to 100%. Management is of the opinion that any possible reasonable change in these assumptions would not cause the carrying amount to exceed the recoverable amount.

16. Deposit for shares

	2012 Shs	2011 Shs	2010 Shs	2009 Shs
Deposit for shares in Suburban Limited	-	-	-	75,000,000

Notes to the Reporting Accountant's Report *(Continued)*

17. Financial assets

		2012 Shs	2011 Shs	2010 Shs	2009 Shs
Loans and advances					
Receivables from related parties		-	-	-	49,334,247
Available-for-sale financial assets					
Morningside Office Park Limited	12%	2,000	-	-	-
Total financial assets		2,000	-	-	49,334,247

The loan represents an amount advanced to Suburban Limited during the process of formation and starting operations. The loan attracts interest at 25% per annumn with effect from 1st January 2010.

18. Inventories

	2012 Shs	2011 Shs	2010 Shs	2009 Shs
Plots held for sale	626,356,035	643,475,926	75,000,000	-
Units held for sale	158,495,729	413,364,498	557,289,000	-
Work in progress	486,754,668	275,850,814	-	-
	1,271,606,432	1,332,691,238	632,289,000	

-

19. Trade and other receivables

	2012	2011	2010	2009
Current				
Trade receivables	48,000,000	10,000,000	-	-
Other receivables	44,640,085	23,742,616	2,905,549	-
VAT recoverable	-	-	65,924,000	-
Deposits and prepayments	630,412	585,139	212,239	212,239
Shareholders account	602,000	100,000	-	-
Due from directors	5,735,500	-	-	250,904
Receivables from related parties (Note 23(ii))	14,718,436	16,369,914	-	-
	114,326,433	50,797,669	69,041,788	463,143

In the opinion of the directors, the carrying amounts of trade and other receivables approximate to their fair value.

The directors are of the opinion that the company's exposure is limited because the debt is widely held.

The carrying amounts of the group's trade and other receivables are denominated in Kenya shillin

Notes to the Reporting Accountant's Report *(Continued)*

20. Cash and cash equivalents

	2012 Shs	2011 Shs	2010 Shs	2009 Shs
Cash at bank and in hand	153,078,889	63,589,864	154,210,003	38,351,034

The group's cash and bank balances are held with a major Kenyan financial institution and, insofar as the directors are able to measure any credit risk to these assets, it is deemed to be limited.

The carrying amounts of the group's cash and cash equivalents are denominated in Kenya shillings.

21. Trade and other payables

	2012 Shs	2011 Shs	2010 Shs	2009 Shs
Current				
Trade payables	47,126,593	22,312,098	21,900,000	-
Accruals	24,635,966	18,741,990	1,064,114	237,157
Deposit from sale of plots	1,559,918,482	1,307,385,727	113,540,000	-
Payable on purchase of land	95,000,000	95,000,000	-	-
Other payables	13,115,251	6,331,355	16,801,240	629,379
Payable to related parties (Note 23(ii))	8,919,496	6,250,000	780,000	-
	1,748,715,788	1,456,021,170	154,085,354	866,536

In the opinion of the directors, the carrying amounts of trade and other payables approximate to their fair value.

The carrying amounts of the group's trade and other payables are denominated in Kenya shillings.

The maturity analysis of the group's trade and other payables is as follows:

Year ended 31 December 2012

	0 to 1 month Shs	2 to 3 months Shs	4 to 12 months Shs	Total Shs
Trade payables	269,625	46,856,968	-	47,126,593
Accruals	24,635,966	-	-	24,635,966
Deposit from sale of plots	7,250,000	-	1,552,668,482	1,559,918,482
Payable on purchase of land	95,000,000	-	-	95,000,000
Other payables	-	13,115,251	-	13,115,251
Payable to related parties	-	-	8,919,496	8,919,496
	127,155,591	59,972,219	1,561,587,978	1,748,715,788

Notes to the Reporting Accountant's Report *(Continued)*

21. Trade and other payables *(continued)*

Year ended 31 December 2011

	0 to 1 month Shs	2 to 3 months Shs	4 to 12 months Shs	Total Shs
Trade payables	22,312,098	-	-	22,312,098
Accruals	18,741,990	-	-	18,741,990
Deposit from sale of plots	1,307,385,727	-	-	1,307,385,727
Payable on purchase of land	-	95,000,000	-	95,000,000
Other payables	-	6,331,355	-	6,331,355
Payable to related parties	-	-	6,250,000	6,250,000
	1,348,439,815	101,331,355	6,250,000	1,456,021,170
Year ended 31 December 2010				
Trade payables	21,900,000	-	-	21,900,000
Accruals	1,064,114	-	-	1,064,114
Deposit from sale of plots	113,540,000	-	-	113,540,000
Other payables	-	16,801,240	-	16,801,240
Payable to related parties	-	-	780,000	780,000
	136,504,114	16,801,240	780,000	154,085,354
Year ended 31 December 2009				
Trade payables	629,379	-	-	629,379
Accruals	237,157	-	-	237,157
	866,536	-	-	866,536

Notes to the Reporting Accountant's Report *(Continued)*

22. Cash from operations

	2012 Shs	2011 Shs	2010 Shs	2009 Shs
Reconciliation of profit/(loss) before tax to cash used in operations:				
Profit/(loss) before tax	257,849,696	(285,098,011)	24,222,466	(13,101,443)
Adjustments for:				
Depreciation on property and equipment (Note 13)	7,517,478	4,361,334	1,981,818	404,253
Amortization intangible assets (Note 14)	236,267	236,030	-	-
Interest expense (Note 5)	78,471,405	62,743,212	-	-
Gain on disposal of property and equipment	(122,463)	(137,500)	-	-
Issue of shares to promoters	-	-	-	15,885,093
Interest income (Note 2)	(1,218,016)	(1,052,818)	(16,872,713)	(3,286,091)
Changes in working capital:				
- Deposits payable	-	-	40,659	400,000
- Inventories	61,084,806	(700,402,238)	(632,288,656) -	-
- Trade and other receivables	(63,528,764)	18,244,119	(68,578,645)	(463,143)
- Trade and other payables	292,694,618	1,301,935,816	153,278,818	806,536
Cash from/(used in) operations	632,985,027	400,829,944	(538,216,253)	645,205

23. Related party transactions and balances

The following transactions were carried out with related parties:	2012 Shs	2011 Shs	2010 Shs	2009 Shs
(i) Key management personnel compensation				
Short term employee benefits	29,221,135	33,680,777	5,466,261	17,715,033
(ii) Outstanding balances arising from payments to/received from related parties				
Receivable from related parties (Note 19)	14,718,436 -	16,369,914	-	-

The receivables from related parties are interest free, have no specific dates of repayment and are unsecured.

Payable to related parties (Note 21)	8,919,496	6,250,000	780,000	-

The payables to related parties are interest free, have no specific dates of repayment and are unsecured.

Notes to the Reporting Accountant's Report *(Continued)*

(iii) Deposit for shares	**2012 Shs**	**2011 Shs**	**2010 Shs**	**2009 Shs**
Lakeview Heights Development Limited	18,440,000	-	-	-
Llango Development Limited	14,891,000	-	-	-
Mitini Scapes Development Limited	10,170,500	-	-	-
Kikwetu Development Limited	7,247,000	-	-	-
	50,748,500	-	-	-

24. Risk management objectives and policies

Financial risk management

The group's activities expose it to a variety of financial risks: market risk (including interest rate risk),credit risk and liquidity risk.

Risk management is carried out by the management under policies approved by the board of directors. Management identifies and evaluates financial risks in close co-operation with various departmental heads. The board provides written principles for overall risk management, as well as written policies covering specific areas, such as interest rate risk and credit risk.

(a) Market risk

- Interest rate risk

The group's exposure to interest rate risk arises from non-current borrowings/current borrowings. Financial assets and liabilities obtained at different rates expose the group to interest rate risk.

At 31 December 2012, if interest rates at that date had been 1 percentage point lower with all other variables held constant, post-tax profit for the year would have been Shs. 525,206 (2011: 393,702) higher, arising mainly as a result of lower interest expense on variable borrowings.

(b) Credit risk

Credit risk arises from cash and cash equivalents and deposits with banks and financial institutions as well as credit exposures to customers, including outstanding receivables. Management assesses the credit quality of the customer, taking into account their financial position, past experience and other factors.

Individual limits are set based on internal or external information in accordance with limits set by the management. The utilisation of credit limits is regularly monitored.

No credit limits were exceeded during the reporting year, and management does not expect any losses from non-performance by these counterparties.

None of the financial assets that are fully performing have been renegotiated in the last year.

Exposure to this risk has been quantified in each financial asset note in the financial statements along with any concentration of risk.

Notes to the Reporting Accountant's Report *(Continued)*

(c) Liquidity risk
Cash flow forecasting is performed by the finance department of the group by monitoring the group's liquidity requirements to ensure it has sufficient cash to meet operational needs while maintaining sufficient headroom on its undrawn committed borrowing facilities at all times so that the group does not breach borrowing limits or covenants on any of its borrowing facilities.

Prudent liquidity risk management implies maintaining sufficient cash, the availability of funding through an adequate amount of committed credit facilities and the ability to close out market positions.

Due to the dynamic nature of the underlying businesses, the group's management maintains flexibility in funding by maintaining availability under committed credit lines.

Notes 10 and 21 disclose the maturity analysis of borrowings and trade and other payables respectively.

25. Capital management

Internally imposed capital requirements
- to provide an adequate return to shareholders by pricing products and services commensurate with the level of risk;
- to comply with the capital requirements set out by the group's bankers;
- to safeguard the entity's ability to continue as a going concern, so that it can continue to provide returns for shareholders and benefits for other stakeholders; and
- to maintain a strong asset base to support the development of business.
- to maintain an optimal capital structure to reduce the cost of capital.

The group sets the amount of capital in proportion to risk. The group manages the capital structure and makes adjustments to it in the light of changes in economic conditions and the risk characteristics of the underlying assets. In order to maintain or adjust the capital structure, the group may adjust the amount of dividends paid to shareholders, return capital to shareholders, issue new shares, or sell assets to reduce debt. Consistently with others in the industry, the group monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by capital. Net debt is calculated as total debt (as shown in the statement of financial position) less cash and cash equivalents. Capital comprises all components of equity (i.e. share capital, share premium and other reserves retained earnings).

The gearing ratios at 31 December 2012, 2011, 2010 and 2009 were as follows:

	2012 Shs	2011 Shs	2010 Shs	2009 Shs
Total borrowings (Note 10)	197,112,039	558,347,904	318,324,000	-
Less cash and cash equivalents (Note 20)	153,078,889	63,589,864	154,210,003	38,351,034
Net debt	44,033,150	494,758,040	164,113,997	(38,351,034)
Total equity	389,765,145	316,844,399	350,670,230	162,642,913
Gearing ratio	0.1:1	1.6:1	0.5:1	-

Notes to the Reporting Accountant's Report *(Continued)*

26. Incorporation

Home Afrika Limited is incorporated in Kenya under the Companies Act as a public limited liability group and is domiciled in Kenya.

27. Presentation currency

The financial statements are presented in Kenya Shillings (Shs).

HOME
AFRIKA

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